

Vinhomes Joint Stock Company

Interim consolidated financial statements

For the six-month period ended 30 June 2021



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For the six-month period ended 30 June 2021



CONTENTS

	<i>Pages</i>
General information	1 - 2
Report of management	3
Report on review of interim consolidated financial statements	4 - 5
Interim consolidated balance sheet	6 - 9
Interim consolidated income statement	10 - 11
Interim consolidated cash flow statement	12 - 14
Notes to the interim consolidated financial statements	15 - 81
Appendix 1 – The Company's subsidiaries as at 30 June 2021	82 - 85

Vinhomes Joint Stock Company

GENERAL INFORMATION

THE COMPANY

Vinhomes Joint Stock Company (“the Company”) is a joint stock company incorporated under the Law on Enterprise of Vietnam pursuant to the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Enterprise Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. The Company also subsequently received amended Enterprise Registration Certificates with the 31st amendment dated 2 July 2021 as the latest.

The current principal activities of the Company are to develop real estate property for sale, provide leasing of offices, render real estate management and related services, provide general contractor services, consulting and designing construction services, supervision and construction management services.

The Company’s head office is located at Symphony Office Tower, Chu Huy Man Street, Vinhomes Riverside Eco-Urban Area, Phuc Loi Ward, Long Bien District, Hanoi, Vietnam.

Vingroup JSC is the parent company of the Company. Vingroup JSC and its subsidiaries are hereby referred as “the Group”.

BOARD OF DIRECTORS

Members of the Board of Directors during the period and at the date of this report are:

Ms. Nguyen Dieu Linh	Chairwoman
Mr. Pham Nhat Vuong	Member
Ms. Cao Thi Ha An	Member
Mr. Pham Thieu Hoa	Member
Mr. Ashish Jaiprakash Shastry	Member
Mr. Tran Kien Cuong	Member
Mr. Varun Kapur	Independent member
Mr. Mueen Uddeen	Independent member
Mr. Hoang D. Quan	Independent member

SUPERVISORY BOARD

Members of the Supervisory Board during the period and at the date of this report are:

Ms. Nguyen Le Van Quynh	Head of the Supervisory Board	appointed on 12 August 2021
Mr. Pham Khoi Nguyen	Head of the Supervisory Board	resigned on 12 August 2021
Ms. Le Thi Duyen	Member	
Ms. Pham Ngoc Lan	Member	appointed on 12 August 2021
Ms. Doan Thi Thu Mai	Member	resigned on 12 August 2021

MANAGEMENT

Members of the management during the period and at the date of this report are:

Mr. Pham Thieu Hoa	Chief Executive Officer
Mr. Douglas John Farrell	Deputy Chief Executive Officer
Mr. Nguyen Duc Quang	Deputy Chief Executive Officer
Mr. Pham Van Khuong	Deputy Chief Executive Officer
Mr. Nguyen Vu Hung	Deputy Chief Executive Officer
Ms. Nguyen Thu Hang	Deputy Chief Executive Officer
Ms. Mai Thu Thuy	Deputy Chief Executive Officer

Vinhomes Joint Stock Company

GENERAL INFORMATION (continued)

LEGAL REPRESENTATIVES

The legal representatives of the Company during the period and at the date of this report are as follows:

- ▶ from 1 January 2021 to the date of this report are Ms. Nguyen Dieu Linh, Chairwoman, Mr. Pham Thieu Hoa, Chief Executive Officer, Mr. Nguyen Vu Hung, Deputy Chief Executive Officer and Mr. Pham Van Khuong, Deputy Chief Executive Officer; and
- ▶ from 2 July 2021 to the date of this report, Ms. Nguyen Thu Hang, Deputy Chief Executive Officer is appointed as another legal representative of the Company in addition to the existing legal representatives.

AUDITORS

The auditor of the Company is Ernst & Young Vietnam Limited.

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Vinhomes Joint Stock Company

REPORT OF MANAGEMENT

Management of Vinhomes Joint Stock Company ("the Company") is pleased to present this report and the interim consolidated financial statements of the Company and its subsidiaries for the six-month period ended 30 June 2021.

MANAGEMENT'S RESPONSIBILITY IN RESPECT OF THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the interim consolidated financial statements of each financial period which give a true and fair view of the interim consolidated financial position of the Company and its subsidiaries and of the interim consolidated results of its operations and its interim consolidated cash flows for the period. In preparing those interim consolidated financial statements, management is required to:

- ▶ select suitable accounting policies and then apply them consistently;
- ▶ make judgements and estimates that are reasonable and prudent;
- ▶ state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the interim consolidated financial statements; and
- ▶ prepare the interim consolidated financial statements on the going concern basis unless it is inappropriate to presume that the Company and its subsidiaries will continue its business.

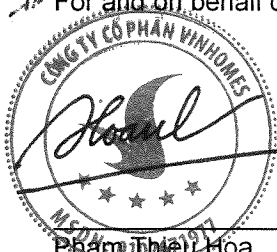
Management is responsible for ensuring that proper accounting records are kept which disclose, with reasonable accuracy at any time, the interim consolidated financial position of the Company and its subsidiaries and to ensure that the accounting records comply with the applied accounting system. It is also responsible for safeguarding the assets of the Company and its subsidiaries and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Management confirmed that it has complied with the above requirements in preparing the accompanying interim consolidated financial statements.

STATEMENT BY MANAGEMENT

Management does hereby state that, in its opinion, the accompanying interim consolidated financial statements give a true and fair view of the interim consolidated financial position of the Company and its subsidiaries as at 30 June 2021 and of the interim consolidated results of its operations and its interim consolidated cash flows for the six-month period then ended in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the interim consolidated financial statements.

For and on behalf of management:



Phạm Thiệu Hoa
Chief Executive Officer

Hanoi, Viet Nam

29 August 2021

Reference: 60871645/22661418-HN/LR

REPORT ON REVIEW OF INTERIM CONSOLIDATED FINANCIAL STATEMENTS

To: The Shareholders of Vinhomes Joint Stock Company

We have reviewed the accompanying interim consolidated financial statements of Vinhomes Joint Stock Company ("the Company") and its subsidiaries (collectively referred to as "the Company and its subsidiaries") as prepared on 29 August 2021 and set out on pages 6 to 85, which comprise the interim consolidated balance sheet as at 30 June 2021, the interim consolidated income statement and the interim consolidated cash flow statement for the six-month period then ended and the notes thereto.

Management's responsibility

Management is responsible for the preparation and fair presentation of the interim consolidated financial statements in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the interim consolidated financial statements, and for such internal control as management determines is necessary to enable the preparation and presentation of the interim consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express a conclusion on the interim consolidated financial statements based on our review. We conducted our review in accordance with Vietnamese Standard on Review Engagements No. 2410 - Review of Interim Financial Information Performed by the Independent Auditor of the Entity.

A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Vietnamese Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.



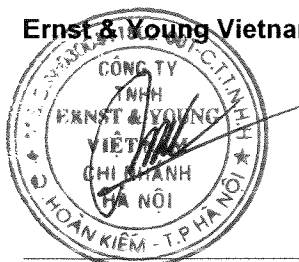


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Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim consolidated financial statements do not give a true and fair view, in all material respects, of the interim consolidated financial position of the Company and its subsidiaries as at 30 June 2021, and of the interim consolidated results of its operations and its interim consolidated cash flows for the six-month period then ended in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the interim consolidated financial statements.

Ernst & Young Vietnam Limited



Phung Manh Phu
Deputy General Director
Audit Practising Registration
Certificate No. 2598-2018-004-1

Hanoi, Vietnam

29 August 2021

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INTERIM CONSOLIDATED BALANCE SHEET
as at 30 June 2021

Currency: million VND

Code	ASSETS	Notes	30 June 2021	31 December 2020
100	A. CURRENT ASSETS		101,733,721	102,312,109
110	I. Cash and cash equivalents	5	8,417,973	13,713,651
111	1. Cash		2,363,795	4,146,738
112	2. Cash equivalents		6,054,178	9,566,913
120	II. Short-term investments		5,629,801	2,054,219
121	1. Held-for-trading securities	6.1	558,316	359,322
123	2. Held-to-maturity investments	6.2	5,071,485	1,694,897
130	III. Current accounts receivable		42,835,185	34,592,470
131	1. Short-term trade receivables	7.1	11,588,782	10,674,408
132	2. Short-term advances to suppliers	7.2	8,991,933	8,504,424
135	3. Short-term loan receivables	8	12,924,863	8,272,493
136	4. Other short-term receivables	9	9,410,991	7,190,939
137	5. Provision for doubtful short-term receivables	10	(81,384)	(49,794)
140	IV. Inventories	11	35,875,029	42,983,662
141	1. Inventories		35,915,146	43,021,241
149	2. Provision for obsolete inventories		(40,117)	(37,579)
150	V. Other current assets		8,975,733	8,968,107
151	1. Short-term prepaid expenses	12	773,149	1,784,595
152	2. Value-added tax deductible	21	298,557	309,066
153	3. Tax and other receivables from the State	21	34,329	41,971
155	4. Other current assets	13	7,869,698	6,832,475

INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 30 June 2021

Currency: million VND

Code	ASSETS	Notes	30 June 2021	31 December 2020
200	B. NON-CURRENT ASSETS		109,115,772	113,014,268
210	I. Long-term receivables		6,007,140	11,084,368
215	1. Long-term loan receivables	8	2,000	4,130,000
216	2. Other long-term receivables	9	6,005,140	6,954,368
220	II. Fixed assets		6,051,979	5,906,615
221	1. Tangible fixed assets	14	5,836,402	5,683,205
222	Cost		6,191,025	5,873,264
223	Accumulated depreciation		(354,623)	(190,059)
227	2. Intangible fixed assets		215,577	223,410
228	Cost		315,117	312,732
229	Accumulated amortisation		(99,540)	(89,322)
230	III. Investment properties	15	11,512,342	8,699,597
231	1. Cost		12,218,565	9,231,822
232	2. Accumulated depreciation		(706,223)	(532,225)
240	IV. Long-term assets in progress		32,259,336	32,361,351
242	1. Construction in progress	17	32,259,336	32,361,351
250	V. Long-term investments	18	10,059,936	9,755,842
252	1. Investments in associates	18.1	3,456,534	5,838,118
253	2. Investments in other entities	18.2	6,418,722	3,969,035
254	3. Provision for long-term investments	18.2	-	(235,991)
255	4. Held-to-maturity investments	18	184,680	184,680
260	VI. Other long-term assets		43,225,039	45,206,495
261	1. Long-term prepaid expenses	12	1,768,369	2,287,994
262	2. Deferred tax assets	34.3	453,195	727,156
268	3. Other long-term assets	13	38,479,770	39,512,106
269	4. Goodwill	19	2,523,705	2,679,239
270	TOTAL ASSETS		210,849,493	215,326,377

INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 30 June 2021

Currency: million VND

Code	RESOURCES	Notes	30 June 2021	31 December 2020
300	C. LIABILITIES		111,402,165	126,196,462
310	I. Current liabilities		94,918,698	103,385,277
311	1. Short-term trade payables	20.1	12,228,773	11,401,484
312	2. Short-term advances from customers	20.2	23,025,587	26,968,735
313	3. Statutory obligations	21	5,131,346	5,035,067
315	4. Short-term accrued expenses	22	17,175,856	13,912,784
318	5. Short-term unearned revenue	23	564,274	531,699
319	6. Other short-term payables	24	26,164,596	34,032,822
320	7. Short-term loans	25	9,977,807	10,997,726
321	8. Short-term provisions	26.1	650,459	504,960
330	II. Non-current liabilities		16,483,467	22,811,185
333	1. Long-term accrued expenses	22	1,354,399	1,409,698
336	2. Long-term unearned revenue	23	1,404,622	3,325,997
337	3. Other long-term liabilities	24	243,198	3,537,548
338	4. Long-term loans	25	12,884,057	13,957,735
341	5. Deferred tax liabilities	34.3	179,455	198,873
342	6. Long-term provisions	26.2	417,736	381,334

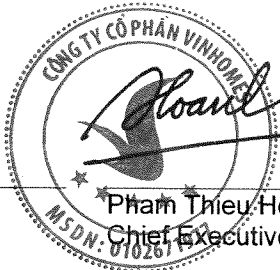
INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 30 June 2021

Currency: million VND

Code	RESOURCES	Notes	30 June 2021	31 December 2020
400	D. OWNERS' EQUITY		99,447,328	89,129,915
410	I. Capital	27	99,447,328	89,129,915
411	1. Share capital		33,495,139	33,495,139
411a	- Shares with voting rights		33,495,139	33,495,139
412	2. Share premium		295,000	295,000
415	3. Treasury shares		(5,549,929)	(5,549,929)
420	4. Other funds belonging to owners' equity		524,355	1,200,896
421	5. Undistributed earnings		67,057,265	56,259,405
421a	- Undistributed earnings by the end of prior period		51,320,134	27,964,411
421b	- Undistributed earnings of current period		15,737,131	28,294,994
429	6. Non-controlling interests		3,625,498	3,429,404
440	TOTAL LIABILITIES AND OWNERS' EQUITY		210,849,493	215,326,377


 Phung Thi Bich Hong
 Preparer


 Le Tien Cong
 Chief Accountant



 Phan Thieu Hoa
 Chief Executive Officer

Hanoi, Vietnam

29 August 2021

INTERIM CONSOLIDATED INCOME STATEMENT
for the six-month period ended 30 June 2021

Currency: million VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
01	1. Revenue from sale of goods and rendering of services	28.1	41,001,561	22,895,706
02	2. Deductions	28.1	-	-
10	3. Net revenue from sale of goods and rendering of services	28.1	41,001,561	22,895,706
11	4. Cost of goods sold and services rendered	29	(20,340,198)	(13,522,071)
20	5. Gross profit from sale of goods and rendering of services		20,661,363	9,373,635
21	6. Finance income	28.2	2,858,420	9,423,407
22	7. Finance expenses	30	(1,138,628)	(1,307,661)
23	In which: Interest and bond issuance expenses		(1,207,186)	(1,303,632)
24	8. Shares of profit of associates	18.1	31,265	-
25	9. Selling expenses	31	(1,010,714)	(799,016)
26	10. General and administrative expenses	31	(919,477)	(1,084,403)
30	11. Operating profit		20,482,229	15,605,962
31	12. Other income		119,883	64,833
32	13. Other expenses	32	(71,167)	(974,203)
40	14. Other profit/(loss)		48,716	(909,370)
50	15. Accounting profit before tax		20,530,945	14,696,592
51	16. Current corporate income tax expense	34.1	(4,226,505)	(3,518,770)
52	17. Deferred tax expense	34.3	(254,543)	(116,500)
60	18. Net profit after tax		16,049,897	11,061,322

INTERIM CONSOLIDATED INCOME STATEMENT (continued)
for the six-month period ended 30 June 2021

Currency: million VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
61	19. Net profit after tax attributable to shareholders of the parent		15,917,392	10,278,579
62	20. Net profit after tax attributable to non- controlling interests		132,505	782,743

Currency: VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
70	21. Basic earnings per share	36	4,839	3,125

Phung Thi Bich Hong
Preparer

Le Tien Cong
Chief Accountant



Pham Thieu Hoa
Chief Executive Officer

Hanoi, Vietnam

29 August 2021

INTERIM CONSOLIDATED CASH FLOW STATEMENT
for the six-month period ended 30 June 2021

Currency: million VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
	I. CASH FLOWS FROM OPERATING ACTIVITIES			
01	Profit before tax		20,530,945	14,696,592
	<i>Adjustments for:</i>			
02	Depreciation of tangible fixed assets and investment properties and amortisation of intangible fixed assets (including amortisation of goodwill)	33	533,825	203,230
03	(Reversal of provisions)/provisions		(19,962)	586
04	Foreign exchange gains arisen from revaluation of monetary accounts denominated in foreign currency		(1,155)	-
05	Profits from investing activities		(2,866,559)	(9,339,280)
06	Interest and bond issuance expenses	30	1,207,186	1,303,632
08	Operating profit before changes in working capital		19,384,280	6,864,760
09	Increase in receivables		(944,705)	(1,896,617)
10	Decrease/(increase) in inventories		8,023,310	(2,170,456)
11	(Decrease)/increase in payables (other than interest, corporate income tax)		(17,663,239)	4,311,568
12	Decrease/(increase) in prepaid expenses		1,531,159	(1,334,941)
13	Increase in held-for-trading securities		(198,994)	-
14	Interest paid		(1,233,081)	(1,106,323)
15	Corporate income tax paid	21	(4,609,590)	(1,620,189)
20	Net cash flows from operating activities		4,289,140	3,047,802

INTERIM CONSOLIDATED CASH FLOW STATEMENT (continued)
for the six-month period ended 30 June 2021

Currency: million VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
	II. CASH FLOWS FROM INVESTING ACTIVITIES			
21	Purchase and construction of fixed assets and other long-term assets		(3,399,849)	(1,385,294)
22	Proceeds from disposals of fixed assets and other long-term assets		15,066	140,513
23	Loans to other entities and payments for purchase of debt instruments of other entities		(5,150,435)	(10,538,913)
24	Collections from borrowers and proceeds from sale of debt instruments of other entities		931,476	11,589,642
25	Payments for investments in other entities (net of cash held by entity being acquired)		(8,478)	(21,480,648)
26	Proceeds from sale of investments in other entities (net of cash held by entity being disposed)		-	2,074,758
27	Interest received		285,088	575,097
30	Net cash flows used in investing activities		(7,327,132)	(19,024,845)
	III. CASH FLOWS FROM FINANCING ACTIVITIES			
31	Issuance of shares		-	22,000
33	Drawdown of borrowings		3,373,375	15,910,765
34	Repayment of borrowings		(5,533,226)	(1,270,759)
36	Dividends paid and profit distributed to non-controlling interests		(97,835)	(157,735)
40	Net cash flows (used in)/from financing activities		(2,257,686)	14,504,271

INTERIM CONSOLIDATED CASH FLOW STATEMENT (continued)
for the six-month period ended 30 June 2021

Currency: million VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
50	Net decrease in cash for the period		(5,295,678)	(1,472,772)
60	Cash and cash equivalents at the beginning of the period		13,713,651	13,332,299
61	Impact of exchange rate fluctuation		-	-
70	Cash and cash equivalents at the end of the period	5	8,417,973	11,859,527

Phung Thi Bich Hong
Preparer

Le Tien Cong
Chief Accountant



Pham Thieu Hoa
Chief Executive Officer

Hanoi, Vietnam

29 August 2021

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 June 2021 and for the six-month period then ended

1. CORPORATE INFORMATION

Vinhomes Joint Stock Company ("the Company") is a joint stock company incorporated under the Law on Enterprise of Vietnam pursuant to the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Enterprise Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. The Company also subsequently received amended Enterprise Registration Certificates with the 31st amendment dated 2 July 2021 as the latest.

The current principal activities of the Company are to develop real estate property for sale, provide leasing of offices, render real estate management and related services, provide general contractor services, consulting and designing construction services, supervision and construction management services.

The Company's head office is located at Symphony Office Tower, Chu Huy Man Street, Vinhomes Riverside Eco-Urban Area, Phuc Loi Ward, Long Bien District, Hanoi, Vietnam.

Vingroup JSC is the parent company of the Company. Vingroup JSC and its subsidiaries are hereby referred as "the Group".

The Company and its subsidiaries' normal course of business cycle of real estate development activity begins when the Company receives investment certificate, carries out land clearance and construction work until the project is completed. Accordingly, the normal course of business cycle of real estate development activity ranges from 12 months to 36 months.

The Company and its subsidiaries' normal course of business cycle of other activities is normally within 12 months.

The number of the Company's employees as at 30 June 2021: 6,431 (31 December 2020: 7,688).

Seasonality of interim consolidated operations

Due to the nature of real estate business, revenue from rental income and rendering real estate management services are expected to be stable throughout the period except when the Company and its subsidiaries launch new properties into the market. On the other hand, revenue from sale of residential properties is dependent on the completion status of real estate projects and the market conditions at the time these projects are offered for sale.

Corporate structure

As at 30 June 2021, the Company has 33 subsidiaries (as at 31 December 2020: 33 subsidiaries). The information on these subsidiaries and their short names, along with the Company's direct and indirect voting rights and direct and indirect equity interest in each subsidiary are detailed in the Appendix 1.

Important event in the period

Covid-19 pandemic

The Covid-19 pandemic is adversely impacting the whole economy and most businesses and industries. This situation may bring uncertainties and have an impact on the environment in which the Company and its subsidiaries operate. The Company's management has continuously monitored ongoing developments and assessed the financial impact in respects of the valuation of assets, provisions and contingent liabilities, and has used estimates and judgement in respect of various issues as the situation has evolved, using the best information obtained up to the date of these interim consolidated financial statements.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

2. BASIS OF PREPARATION

2.1 Accounting standards and system

The interim consolidated financial statements of the Company and its subsidiaries, which are expressed in Vietnam dong ("VND"), are prepared in accordance with Vietnamese Enterprise Accounting System, Vietnamese Accounting Standard No. 27 - Interim Financial Reporting and other Vietnamese Accounting Standards issued by the Ministry of Finance as per:

- ▶ Decision No. 149/2001/QD-BTC dated 31 December 2001 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 1);
- ▶ Decision No. 165/2002/QD-BTC dated 31 December 2002 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 2);
- ▶ Decision No. 234/2003/QD-BTC dated 30 December 2003 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 3);
- ▶ Decision No. 12/2005/QD-BTC dated 15 February 2005 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 4); and
- ▶ Decision No. 100/2005/QD-BTC dated 28 December 2005 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 5).

Accordingly, the accompanying interim consolidated financial statements, including their utilisation are not designed for those who are not informed about Vietnam's accounting principles, procedures and practices and furthermore are not intended to present the interim consolidated financial position and interim consolidated results of operations and interim consolidated cash flows in accordance with accounting principles and practices generally accepted in countries other than Vietnam.

2.2 Applied accounting documentation system

The Company and its subsidiaries' applied accounting documentation system is the General Journal.

2.3 Fiscal year

The Company and its subsidiaries' fiscal year applicable for the preparation of its consolidated financial statements starts on 1 January and ends on 31 December.

2.4 Accounting currency

The interim consolidated financial statements are prepared in VND which is also the Company and its subsidiaries' accounting currency. For the purpose of presenting the interim consolidated financial statements as at 30 June 2021, the figures are rounded to the nearest millions and presented in millions of Vietnam dong ("million VND").

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

2. BASIS OF PREPARATION (continued)

2.5 Basis of consolidation

The interim consolidated financial statements comprise the interim financial statements of the Company and its subsidiaries for the six-month period ended 30 June 2021.

Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Company obtains control, and continued to be consolidated until such control ceases, except when the Company only obtains temporary control and the subsidiary is acquired with a view of resale within 12 months from acquisition.

The interim financial statements of subsidiaries are prepared for the same reporting period as the parent company, using consistent accounting policies.

All intra-company balances, income and expenses and unrealised gains or losses resulting from intra-company transactions are eliminated in full.

Non-controlling interests represent the portion of profit or loss and net assets of subsidiaries not held by the Company and are presented separately in the interim consolidated income statement and within equity in the interim consolidated balance sheet.

Impact of change in the ownership interest of a subsidiary, without a loss of control, is recorded in undistributed earnings.

In case the Company disposes a partial interest in a subsidiary and loses control but retains an interest as an associate, the Company's investment is accounted for using the equity method of accounting. Profit/loss from this transaction is recognised in the interim consolidated income statement.

Gains resulting from contribution of non-monetary asset or sales of asset to associate or joint-ventures are recognized in the consolidated income statement only to the extent of unrelated interest in the associate or joint-venture. Unrealised profits related to interest by the Company and its subsidiaries are realised to the interim consolidated income statement according to the progress of asset recovery in the financial statements of these associates or joint-ventures.

In case the Company disposes a partial interest in a subsidiary and loses control but retains an interest as an investment in other entities, the Company's investment is accounted for using the cost method. Profit/loss from this transaction is recognised in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 *Changes in accounting policies and disclosures*

The accounting policies adopted by the Company and its subsidiaries in preparation of the interim consolidated financial statements are consistent with those followed in the preparation of the Company and its subsidiaries' consolidated financial statements for the year ended 31 December 2020 and the interim consolidated financial statements for the six-month period ended 30 June 2020, except for the change in the accounting policy in relation to appropriation of net profits (Note 3.19).

3.2 *Cash and cash equivalents*

Cash and cash equivalents comprise cash on hand, cash at banks and short-term, highly liquid investments with an original maturity of not more than three months and investments with maturity of not more than three months since investment date that are readily convertible into known amounts of cash and that are subject to an insignificant risk of change in value.

3.3 *Inventories*

Inventories are stated at the lower of cost incurred in bringing each product to its present location and condition, and net realisable value.

Net realisable value ("NRV") represents the estimated selling price in the ordinary course of business less the estimated costs to complete and the estimated costs necessary to make the sale.

Inventory property

Property acquired or being constructed for sale or to be held for long-term lease that meets the requirements of outright revenue recognition in the ordinary course of business, rather than to be held for rental or capital appreciation, is held as inventory property and is measured at the lower of cost and NRV.

Cost of inventory property includes:

- ▶ Freehold, leasehold and development rights for land;
- ▶ Amounts payable/paid to contractors for construction; and
- ▶ Borrowing costs, planning and design costs, costs of site preparation, professional fees for legal services, property transfer taxes, construction overheads and other related costs.

Net realisable value is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date, less costs to completion and the estimated costs to sell.

The cost of inventory property recognised in the interim consolidated income statement on disposal is determined with reference to the specific costs incurred on the property sold and an allocation of any non-specific costs based on reasonable allocation criteria.

Construction inventory

The Company and its subsidiaries use perpetual method to record raw materials and merchandise which are valued at cost of purchase on a weighted average basis.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.3 Inventories (continued)

Construction inventory (continued)

Work in progress of construction contracts comprises costs of materials, labour costs, construction costs payable to sub-contractors and other related costs which have not been accepted by the investors at the date of the interim consolidated financial statements.

Other inventories

In respect of inventory of stone mining and production activities, the Company and its subsidiaries use perpetual method to record other inventories which are valued as follows:

Raw materials and consumables - cost of purchase on a weighted average basis.

Finished goods - costs of materials and direct labour cost plus related general production cost which are allocated based on the ordinary course of business on a weighted average basis.

The value of inventories which are materials supplied to the investor of the projects is measured on the specific identification basis; while the value of other inventories is measured on a weighted average basis.

Provision for obsolete inventories

An inventory provision is created for the estimated loss arising due to the impairment of value (through diminution, damage, obsolescence, etc.) of finished goods, and other inventories owned by the Company and its subsidiaries, based on appropriate evidence of impairment available at the interim consolidated balance sheet date.

Increases or decreases to the provision balance are recorded into the cost of goods sold account in the interim consolidated income statement.

3.4 Receivables

Receivables are presented in the interim consolidated financial statements at the carrying amounts due from customers and other debtors, after provision for doubtful debts.

The provision for doubtful debts represents amounts of outstanding receivables at the interim consolidated balance sheet date which are doubtful of being recovered. Increases or decreases to the provision balance are recorded as general and administrative expenses in the interim consolidated income statement.

3.5 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation.

The cost of a tangible fixed asset comprises its purchase price and any directly attributable costs of bringing the tangible fixed asset to working condition for its intended use.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.5 *Tangible fixed assets* (continued)

Expenditures for additions, improvements and renewals are added to the carrying amount of the assets and expenditures for maintenance and repairs are charged to the interim consolidated income statement as incurred.

When tangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the interim consolidated income statement.

3.6 *Leased assets*

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset and the arrangement conveys a right to use the asset.

A lease is classified as a finance lease whenever the terms of the lease transfer substantially all the risks and rewards of ownership of the asset to the lessee. All other leases are classified as operating leases.

Where the Company and its subsidiaries are the lessors

The net investment under finance lease contracts is included as a receivable in the interim consolidated balance sheet. The interest amounts of the leased payments are recognised in the interim consolidated income statement over the period of the lease contracts to achieve a constant rate of interest on the net investment outstanding.

Assets subject to operating leases are presented as investment properties in the interim consolidated balance sheet. Initial direct costs incurred in negotiating an operating lease are recognised in the interim consolidated income statement as incurred.

Lease income is recognised in the interim consolidated income statement on a straight-line basis over the lease term.

Where the Company and its subsidiaries are the lessees

Rentals under operating leases are charged to the interim consolidated income statement on a straight-line basis over the lease term.

3.7 *Intangible fixed assets*

Intangible fixed assets are stated at cost less accumulated amortisation.

The cost of an intangible fixed asset comprises its purchase price and any directly attributable costs of preparing the intangible fixed asset for its intended use.

Expenditures for additions, improvements are added to the carrying amount of the assets and other expenditures are charged to the interim consolidated income statement as incurred.

When intangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.8 Depreciation and amortisation

Depreciation of tangible fixed assets and amortisation of intangible fixed assets are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Buildings and structures	15 – 48 years
Machinery and equipment	5 – 15 years
Means of transportation	6 – 10 years
Office equipment	3 – 5 years
Computer software	3 – 5 years
Others	2 – 5 years

3.9 Investment properties

Investment properties are stated at cost including transaction costs less accumulated depreciation.

Subsequent expenditure relating to an investment property that has already been recognised is added to the net book value of the investment property when it is probable that future economic benefits, in excess of the originally assessed standard of performance of the existing investment property, will flow to the Company and its subsidiaries.

Depreciation of investment properties is calculated on a straight-line basis over the estimated useful life of each asset as follows:

Definite land use rights, buildings and structures	27 – 50 years
Machinery and equipment	7 – 10 years

No amortisation is charged on the land use rights presented as investment properties with indefinite terms.

Investment properties are derecognised when either they have been disposed of or when the investment properties are permanently withdrawn from use and no future economic benefit is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the assets is recognised in the interim consolidated income statement in the period of retirement or disposal.

Transfers are made to investment properties when, and only when, there is a change in use, evidenced by ending of owner-occupation, commencement of an operating lease to another party or ending of construction or development. Transfers are made from investment properties when, and only when, there is change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale. The transfer from investment property to owner-occupied property or inventories does not change the cost or the carrying value of the property for subsequent accounting at the date of change in use.

3.10 Borrowing costs

Borrowing costs consist of interest and other costs that the Company and its subsidiaries incur in connection with the borrowing of funds.

Borrowing costs are recorded as expense during the period in which they are incurred, except to the extent that borrowing costs that are directly attributable to the acquisition, construction or production of an asset that necessarily take a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the respective asset.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.11 Prepaid expenses

Prepaid expenses are reported as short-term or long-term prepaid expenses on the interim consolidated balance sheet and amortised over the period for which the amounts are paid or the period in which economic benefits are generated in relation to these expenses.

Short-term prepaid expenses include commission fees for selling inventory properties, provisional corporate income tax for down payments from customers for the purchases of inventory properties at the Company and its subsidiaries' real estate projects and other prepaid expenses that are expected to generate future economic benefit within one ordinary course of business cycle.

Long-term prepaid expenses include tools and supplies, long-term prepaid land rental and other prepaid expenses that generate future economic benefits for more than one year.

Prepaid land rental

The prepaid land rental represents the remaining unamortised balance of advance payment made in accordance with the lease contract signed with the authorities. Such prepaid rental is recognised as a long-term prepaid expense and is amortised to the interim consolidated income statement over the remaining lease period according to Circular 45/2013/TT-BTC. Besides, prepaid land rental also comprises land lease incurred from business combination, in which, the acquiree is a lessee under operating leases with favourable lease terms compared with the fair value at the date of business combination.

3.12 Business combinations and goodwill

Business combinations are accounted for using the purchase method. The cost of a business combination is measured as the fair value of assets given, equity instruments issued, and liabilities incurred or assumed at the date of exchange plus any costs directly attributable to the business combination. Identifiable assets and liabilities and contingent liabilities assumed in a business combination are measured initially at fair values at the date of business combination.

Where equity instruments are issued by the acquirer as consideration, fair value of the consideration shall be measured at fair value of these instruments at the exchange date. In case the published price at the date of exchange is an unreliable indicator of fair value, the fair value of those instruments could, for example, be estimated by reference to their proportional interest in the fair value of the acquirer or by reference to the proportional interest in the fair value of the acquiree obtained, whichever is the more clearly evident.

Goodwill acquired in a business combination is initially measured at cost being the excess of the cost the business combination over the Company and its subsidiaries' interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities. If the cost of a business combination is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the interim consolidated income statement. After initial recognition, goodwill is measured at cost less any accumulated amortisation. Goodwill is amortised over 10-year period on a straight-line basis. The Company and its subsidiaries conduct the periodical review for impairment of goodwill of investment in subsidiaries. If there are indicators of impairment loss incurred is higher than the yearly allocated amount of goodwill on the straight-line basis, the higher amount will be recorded in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.12 Business combinations and goodwill (continued)

Business combinations involving entities or businesses under common control

A business combination involving entities under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory. An entity can be under common control of an individual or a group of individuals following a contractual agreement.

Business combinations involving entities or businesses under common control are accounted for as follows:

- ▶ The assets and liabilities of the two combined entities are reflected at their carrying amounts on the date of business combination;
- ▶ No goodwill is recognised from the business combination;
- ▶ The interim consolidated income statement reflects the results of the combined entities from the date of the business combination; and
- ▶ Any difference between the consideration paid and the net assets of the acquiree is recorded in equity.

After the date of business combination, if the Company and its subsidiaries transfer and lose control of investment in these entities, the difference between the cost of a business combination and net assets, which was previously recognised in owners' equity, is recognised in the interim consolidated income statement.

3.13 Assets acquisitions and business combinations

The Company and its subsidiaries acquire subsidiaries that own assets and production activities. At the date of acquisition, the Company and its subsidiaries consider whether the acquisition represents the acquisition of a business. The Company and its subsidiaries account for an acquisition as a business combination where an integrated set of activities is acquired in addition to the assets.

When the acquisition of subsidiaries does not represent a business combination, it is accounted for as an acquisition of a group of assets and liabilities. The cost of the acquisition is allocated to the assets and liabilities acquired based upon their relative fair values, and no goodwill or deferred tax is recognised.

In case prior to the date that control is obtained, the investment is an investment in associate or a long-term investment and the acquisition of the subsidiary is not a business combination, when preparing the interim consolidated financial statements, the parent company shall not remeasure the previously held equity interests. Instead previously held equity interests at carrying value and the consideration were allocated to the assets and liabilities acquired based on their relative fair values on acquisition date.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.14 Investments

Investments in associates

The Company and its subsidiaries' investment in their associate is accounted for using the equity method of accounting. An associate is an entity in which the Company and its subsidiaries have significant influence that is neither subsidiaries nor joint ventures. The Company and its subsidiaries generally deem they have significant influence if they have over 20% of the voting rights.

Under the equity method, the investment is carried in the interim consolidated balance sheet at cost plus post-acquisition changes in the Company and its subsidiaries' share of net assets of the associates. Goodwill arising on acquisition of the associate is included in the carrying amount of the investment. Goodwill is not amortised and is subject to annual review for impairment. The interim consolidated income statement reflects the share of the post-acquisition results of operation of the associate.

The share of post-acquisition profit/(loss) of the associates is presented on the face of the interim consolidated income statement and its share of post-acquisition movements in reserves is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. Dividend/profit sharing received or receivable from associates reduces the carrying amount of the investment.

Gains resulting from contribution of non-monetary assets or sales of asset to associate or joint-ventures are recognised in the interim consolidated income statement only to the extent of unrelated interest in the associate or joint-venture. Unrealised profits related to interest by the Company and its subsidiaries are realised to the consolidated income statement according to the progress of asset recovery in the financial statements of these associates or joint-ventures.

The financial statements of the associates are prepared for the same reporting period and use the same accounting policies as the Company and its subsidiaries. Where necessary, adjustments are made to bring the accounting policies in line with those of the Company and its subsidiaries.

The Company and its subsidiaries cease to use the equity method of accounting from the date that the investee is no longer an associate of the Company and its subsidiaries. Upon cessation of the equity method, the Company and its subsidiaries reclassify all amounts previously recognised directly in equity to the interim consolidated income statement in the same manner as when the investee liquidates the related assets and liabilities. The remaining balance of unrealised gains resulting from contribution of non-monetary assets or sale of assets to associates or joint ventures at the time of ceasing application of the equity method is also recognised in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.14 *Investments* (continued)

Held-for-trading securities and investments in other entities

Held-for-trading securities and investments in other entities are stated at their acquisition costs.

Provision for diminution in value of investments

Provision of the investment is made when there are reliable evidences of the diminution in value of those investments at the interim consolidated balance sheet date.

Increases or decreases to the provision balance are recorded as finance expense in the interim consolidated income statement.

Held-to-maturity investments

Held-to-maturity investments are stated at their acquisition costs. After initial recognition, held-to-maturity investments are measured at recoverable amount. Any impairment loss incurred is recognised as finance expense in the interim consolidated income statements and deducted against the value of such investments.

3.15 *Payables and accruals*

Payables and accruals are recognised for amounts to be paid in the future for goods and services received, whether or not billed to the Company and its subsidiaries. Payables to construction contractors are recognised for amounts certified by the construction work certificate signed with contractors, whether or not billed to the Company and its subsidiaries.

3.16 *Provisions*

General provisions

Provisions are recognised when the Company and its subsidiaries have a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

When the Company and its subsidiaries expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the interim consolidated income statement net of any reimbursement.

The Company and its subsidiaries assess onerous contracts are those contracts in which, the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it. The unavoidable costs under a contract reflect the least net cost of exiting from the contract, which is the lower of the cost of fulfilling it and any compensation or penalties arising from failure to fulfil it. The Company and its subsidiaries recognise and assess obligations under onerous contracts as provisions and these provisions are made for each onerous contract.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.16 Provisions (continued)

General provisions (continued)

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance expense.

Warranty provision for inventory properties

The Company and its subsidiaries estimate provision for warranty expenses based on revenues and available information about the repair of inventory properties sold in the past.

3.17 Foreign currency transactions

Transactions in currencies other than the Company and its subsidiaries' reporting currency of VND are recorded at the actual transaction exchange rates at transaction dates which are determined as follows:

- ▶ Transactions resulting in receivables are recorded at the buying exchange rates of the commercial banks designated for collection;
- ▶ Transactions resulting in liabilities are recorded at the selling exchange rates of the commercial banks designated for payment;
- ▶ Capital contributions are recorded at the buying exchange rates of the commercial banks designated for capital contribution; and
- ▶ Payments for assets or expenses without liabilities initially being recognised is recorded at the buying exchange rates of the commercial banks that process these payments.

At the end of the reporting period, monetary balances denominated in foreign currencies are translated at the actual transaction exchange rates at the interim consolidated balance sheet dates which are determined as follows:

- ▶ Monetary assets are translated at buying exchange rate of the commercial bank where the Company and its subsidiaries conduct transactions regularly; and
- ▶ Monetary liabilities are translated at selling exchange rate of the commercial bank where the Company and its subsidiaries conduct transactions regularly.

All foreign exchange differences incurred are taken to the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.18 Treasury shares

Own equity instruments which are reacquired (treasury shares) are recognised at cost and deducted from equity. No gain or loss is recognised in profit or loss upon purchase, sale, issue or cancellation of the Company's own equity instruments.

3.19 Appropriation of net profits

Net profit after tax (excluding negative goodwill arising from bargain purchases) is available for appropriation to shareholders after approval by shareholders at the General Shareholders' Meeting and after making appropriation to reserve funds in accordance with the Company's Charter, each subsidiary's Charter and Vietnam's regulatory requirements.

The Company and its subsidiaries recognise the distribution of cash dividends when such appropriation is approved by the shareholders at the General Shareholders' Meeting; and recognise the distribution of stock dividends when such appropriation is approved by the shareholders at the General Shareholders' Meeting and authorised State bodies.

The Company and its subsidiaries maintain the reserve funds which are appropriated from the Company and its subsidiaries' net profit after approval by shareholders at the General Shareholders' Meeting.

3.20 Advances from customers purchasing inventory properties

Payments received from customers as deposits for purchasing inventory properties in the future, that do not meet the conditions for revenue recognition, are recognised and presented as "Advances from customers" in the liability section in the interim consolidated balance sheet. Incentives under promotion programs which are, in substance, revenue deductions are offset against account "Advances from customers" which are not qualified to be recognised as revenue for the period.

3.21 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and its subsidiaries and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, excluding trade discount, rebate and sales return. The following specific recognition criteria must also be met before revenue is recognised:

Revenue from sale of inventory properties

Revenue from sale of inventory properties is recognised when the significant risks and rewards incident to ownership of the properties have been passed to the buyer.

Revenue from sale of inventory properties also includes long-term lease of investment property qualified for recognition of outright sales. If the lease term is greater than 90% of the asset's useful life, the Company and its subsidiaries recognise the revenue for the entire prepaid lease payment if all following conditions are met:

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.21 Revenue recognition (continued)

Revenue from sale of inventory properties (continued)

- ▶ Lessee is not allowed to cancel the lease contract during the lease term, and the lessor is not responsible for reimbursing the prepaid lease payments under any circumstances;
- ▶ The prepaid lease payment is not less than 90% of the total estimated lease payment collected under contract over the lease period and lessee must pay all rental within 12 months from the commencement of the lease;
- ▶ Almost all risks and rewards associated with the ownership of leased assets are transferred to the lessee; and
- ▶ Lessor must estimate the full cost of leasing activity.

Rental income

Rental income arising from operating lease of properties is recognised in the interim consolidated income statement on a straight-line basis over the lease term.

Sale of goods

Revenue is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually upon the delivery of the goods.

Rendering of services

Revenue from rendering of services is recognised when the services are rendered for customers.

Income from Business and Investment Co-operation contracts in which the Company and its subsidiaries are entitled to revenue, profit before tax or profit after tax.

Under investment and business cooperation contracts not in the form of jointly controlled asset or jointly controlled operations in which the Company and its subsidiaries contribute capital in cash, distributed income is recognised as finance income in the interim consolidated income statement.

Under investment and business cooperation contracts not in the form of jointly controlled asset or jointly controlled operations in which the Company and its subsidiaries contribute assets, distributed income is recognised as revenue in the interim consolidated income statement.

Interest

Income is recognised as the interest accrues (taking into account the effective yield on the asset) unless collectability is in doubt.

Dividends

Income is recognised when the Company and its subsidiaries' entitlement as an investor to receive the dividend is established

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.21 Revenue recognition (continued)

Income from capital transfer

Income from capital transfer is identified as difference between transfer consideration and cost of capital transfer. This income is recognised on date when the transaction arises being the date when the transfer contract is exercised.

Revenue from goods and services and/or attached goods in multiple elements package

In the transaction in which the Company and its subsidiaries provide multiple products and services to the customer in the same arrangement, the Company and its subsidiaries determine the obligation to sell the product and the obligation to render the services separately and only recognises the revenue when each individual obligation is completed by the Company and its subsidiaries. The contract value is allocated to individual product by taking the total contract value minus the estimated fair value of the service. Payments from customers under contracts corresponding to the unfulfilled obligations are presented as "Advances from customers" or "Unearned revenues" in the interim consolidated balance sheet.

3.22 Construction contract

Where the outcome of a construction contract can be estimated reliably, revenue and costs are recognised by reference to the stage of completion of the contract activity at the balance sheet date, as measured by reference to the work performed that has been agreed by customers. Variations in contract work, claims and incentive payments are included to the extent that they have been agreed with the customer.

Where the outcome of a construction contract cannot be estimated reliably, contract revenue is recognised to the extent of contract costs incurred that it is probable will be recoverable. Contract costs are recognised as expenses in the period in which they are incurred.

3.23 Taxation

Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted as at the interim consolidated balance sheet date.

Current income tax is charged or credited to the interim consolidated income statement, except when it relates to items recognised directly to equity, in which case the current income tax is also dealt with in equity.

Current income tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to offset current tax assets against current tax liabilities and when the Company and its subsidiaries intend to settle their current tax assets and liabilities on a net basis.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.23 Taxation (continued)

Deferred tax

Deferred tax is provided using the liability method on temporary differences at the interim consolidated balance sheet date between the tax base of assets and liabilities and their carrying amount for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- ▶ where the deferred tax liability arises from the initial recognition of an asset or liability in a transaction which at the time of the related transaction affects neither the accounting profit nor taxable profit or loss; and
- ▶ in respect of taxable temporarily differences associated with investments in subsidiaries and associates, and interests in joint ventures where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carried forward unused tax credit and unused tax losses, to the extent that it is probable that taxable profit will be available against which deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilised, except:

- ▶ where the deferred tax asset in respect of deductible temporary difference which arises from the initial recognition of an asset or liability which at the time of the related transaction, affects neither the accounting profit nor taxable profit or loss; and
- ▶ in respect of deductible temporarily differences associated with investments in subsidiaries, associates, and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each interim consolidated balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Previously unrecognised deferred tax assets are re-assessed at each interim consolidated balance sheet date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled based on tax rates and tax laws that have been enacted at the interim consolidated balance sheet date.

Deferred tax is charged or credited to the interim consolidated income statement, except when it relates to items recognised directly to equity, in which case the deferred tax is also dealt with in the equity account.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.23 *Taxation* (continued)

Deferred tax (continued)

Deferred tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to off-set current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority on:

- ▶ either the same taxable entity; or
- ▶ when the Company and its subsidiaries intend either to settle current tax liabilities and assets on a net basis or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

3.24 *Earnings per share*

Basic earnings per share amounts are calculated by dividing net profit/(loss) after tax for the period attributable to ordinary shareholders of the Company (after adjusting for the bonus and welfare fund) by the weighted average number of ordinary shares outstanding during the period.

Diluted earnings per share amounts are calculated by dividing the net profit/(loss) after tax attributable to ordinary equity holders of the Company (after adjusting for interest on the convertible preference shares) by the weighted average number of ordinary shares outstanding during the period plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

3.25 *Segment information*

A segment is a component determined separately by the Company and its subsidiaries which is engaged in providing products or related services (business segment) or providing products or services in a particular economic environment (geographical segment), that is subject to risks and returns that are different from those of other segments.

Real estate trading and related services are principal sources of revenue and profit of the Company and its subsidiaries, while revenue from other activities accounts for a minimal portion in the Company and its subsidiaries' total revenue. Therefore, management is of the view that there is only one segment for business. In addition, management defines the Company and subsidiaries' geographical segments to be based on the location of the assets which is in Vietnam.

3.26 *Related parties*

Parties are considered to be related parties of the Company and its subsidiaries if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, or when the Company and its subsidiaries and other party are under common control or under common significant influence. Related parties can be enterprise or individual, including close members of their families.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.27 *Demerger*

Demerger transactions where the Company is the demerged company are carried out as follows:

- ▶ Assets, liabilities transferred to the new company is deducted to the respective items in the interim consolidated balance sheet by the carrying value at the date of demerger;
- ▶ Difference between assets and liabilities transferred to the new company is deducted to equity in the interim consolidated balance sheet; and
- ▶ No gain or loss is recognised for the demerger transaction.

3.28 *Bond issuance transaction cost*

Transaction costs relating to bond issuance are charged to the interim consolidated income statement on a straight-line basis over the term of the bond. At initial recognition, these transaction costs are deducted from liability component of the bond.

4. SIGNIFICANT ACQUISITIONS AND DISPOSALS DURING THE PERIOD

Business combination transaction under common control

Acquisition of Times Trading LLC, new subsidiary

On 17 June 2021, the Company and its subsidiaries acquired 100% capital contribution in Times Trading LLC from Vingroup JSC, the parent company, for a total consideration of VND561 billion. Thereby, Times Trading LLC became a subsidiary of the Company. At the date of acquisition, Times Trading LLC is the owner of investment properties for lease.

The Company's management assesses this transaction as a business combination involving two entities under common control. Thereby, the net assets acquired of Times Trading LLC is measured at their carrying value in the interim consolidated financial statements of Vingroup JSC, the parent company. The difference between the consideration transferred and net assets of Times Trading LLC is recognised in other funds belonging to owners' equity in the interim consolidated financial statements.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS AND DISPOSALS DURING THE PERIOD (continued)

Business combination transaction under common control (continued)

Acquisition of Times Trading LLC, new subsidiary (continued)

The carrying value of identifiable assets and liabilities of Times Trading LLC at acquisition date carried from the consolidated financial statements of Vingroup JSC are presented below:

Currency: million VND

Carrying value at
acquisition date

Assets

Cash and cash equivalents	26,822
Investment properties (Note 15)	172,389
Investments in other entities (Note 18.2)	8,366
Other assets	2,840
	210,417

Liabilities

Long-term loans	(318,000)
Other payables	(12,958)
	(330,958)

Total net assets

Difference between consideration and net assets acquired recognised in other funds belonging to owners' equity (Note 27.1)	681,541
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Total purchase consideration

561,000

Cash flow on acquisition

Cash acquired with the subsidiary	26,822
Cash paid for acquiring the subsidiary up to 30 June 2021	-

Net cash flow on acquisition

26,822

Revenue and net loss before tax of Times Trading LLC from 1 January 2021 to the date being acquired are VND15 billion and VND4 billion respectively; and from the date of acquisition to 30 June 2021 are not significant.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

5. CASH AND CASH EQUIVALENTS

	Currency: million VND	
	30 June 2021	31 December 2020
Cash on hand	1,295	2,315
Cash at banks	2,362,500	4,144,423
Cash equivalents	6,054,178	9,566,913
TOTAL	8,417,973	13,713,651

Cash equivalents as at 30 June 2021 comprise bank deposits in VND with original terms ranging from 1 month to 3 months, earning interests at rates ranging from 3.2% to 3.6% per annum (as at 31 December 2020: original terms ranging from 1 month to 3 months, earning interests at rates ranging from 2.2% to 4% per annum) and short-term investments in corporate bonds in VND with a maturity of not more than 3 months, earning interest at rates ranging from 5.3% to 8% per annum (as at 31 December 2020: cash equivalents exclude short-term investments in corporate bonds).

Details of each type of foreign currency in original currency:

	30 June 2021	31 December 2020
Foreign currency:		
- United States dollar (USD)	435,225	99,046

6. SHORT-TERM INVESTMENTS

6.1 Held-for-trading securities

	Currency: million VND					
	30 June 2021			31 December 2020		
	Cost	Fair value	Provision	Cost	Fair value	Provision
Corporate bonds (i)	558,316	(*)	-	359,322	359,322	-
TOTAL	558,316	(*)	-	359,322	359,322	-

(i) Details of investments in corporate bonds with balance exceeding 10% of the total balance:

	Currency: million VND					
	30 June 2021			31 December 2020		
	Cost	Fair value	Provision	Cost	Fair value	Provision
Corporate counterparty No.1	506,951	(*)	-	-	-	-
Corporate counterparty No.2	-	-	-	359,322	359,322	-

(*) Balance as at 30 June 2021 includes unlisted corporate bonds of companies which are held for trading with maturity of more than 3 months and earning interests at rates ranging from 6.3% to 7.5% per annum. As at 30 June 2021, the fair value of these investments has not been determined because of insufficient market information for fair value determination purpose.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

6. SHORT-TERM INVESTMENTS (continued)

6.2 Held-to-maturity investments

Currency: million VND

	30 June 2021		31 December 2020	
	Cost	Carrying value	Cost	Carrying value
Short-term bank deposits	5,071,485	5,071,485	1,694,897	1,694,897
TOTAL	5,071,485	5,071,485	1,694,897	1,694,897

Short-term bank deposits in VND as at 30 June 2021 have original terms ranging from more than 3 months to 12 months, earning interests at rates ranging from 2.9% to 6.5% per annum (as at 31 December 2020: original terms ranging from more than 3 months to 12 months, earning interests at rates ranging from 2% to 7.1% per annum).

7. SHORT-TERM TRADE RECEIVABLES AND ADVANCES TO SUPPLIERS

7.1 Short-term trade receivables

Currency: million VND

	30 June 2021	31 December 2020
Sale of inventory properties	7,735,053	7,142,800
Disposal of investments	2,926,619	2,906,619
Rendering construction services and related services	244,001	92,875
Rendering real estate management services and related services	219,515	195,782
Leasing activities and rendering related services	175,205	146,691
Others	288,389	189,641
TOTAL	11,588,782	10,674,408
<i>In which:</i>		
Trade receivables from others	11,430,374	10,359,176
Trade receivables from related parties (Note 35)	158,408	315,232
<i>In which, details of receivables which are more than 10% of total balance</i>		
A corporate counterparty	2,906,619	2,906,619
Provision for doubtful short-term trade receivables	(11,373)	(9,215)

7.2 Short-term advances to suppliers

Currency: million VND

	30 June 2021	31 December 2020
Advances to other suppliers	8,476,930	8,058,810
Advances to related parties (Note 35)	515,003	445,614
TOTAL	8,991,933	8,504,424
Provision for doubtful advances to suppliers	(24,079)	(24,079)

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

8. LOAN RECEIVABLES

Currency: million VND

	30 June 2021	31 December 2020
Short-term		
Loans to corporate counterparties and individuals (i)	11,533,663	8,261,293
<i>In which:</i>		
<i>Current portion of long-term loan receivables</i>	3,770,000	-
Loans to related parties (Note 35)	1,391,200	11,200
TOTAL	12,924,863	8,272,493
Provisions for doubtful loan receivables	(21,288)	(16,000)
Long-term		
Loans to corporate counterparties	2,000	3,770,000
Loans to related parties (Note 35)	-	360,000
TOTAL	2,000	4,130,000

(i) Balances as at 30 June 2021 mainly includes:

- ▶ Loans to individuals amounting to VND7,615 billion, with terms of 12 months and earning interests at rate 9.5% per annum. These loans are secured by a number of listed shares; and
- ▶ Loans to corporate counterparties amounting to VND3,770 billion, due in April 2022 and earning interests at rate 9% per annum. These loans are secured by a number of listed shares, a number of shares and a portion of capital contribution in the borrowers.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

9. OTHER RECEIVABLES

	Currency: million VND	
	30 June 2021	31 December 2020
Short-term		
Interest income on loans and bank deposits	4,364,078	2,878,953
Receivables from collection and payment on behalf	1,215,407	330,335
Receivables from advances for sponsor and charity activities	966,457	499,300
Advances for land clearance	926,906	1,871,338
Deposits and capital contribution for Business and Investment Co-operation Contracts (i)	751,705	751,705
Short-term deposits, mortgage	581,190	612,730
Declared profit receivables	99,932	68,820
Others	505,316	177,758
TOTAL	9,410,991	7,190,939
Provision for doubtful other short-term receivables	(24,644)	(500)
<i>In which:</i>		
Receivables from others	7,753,810	6,051,346
Receivables from related parties (Note 35)	1,657,181	1,139,593
Long-term		
Deposits and capital contribution for Business and Investment Co-operation Contract (ii)	5,790,000	5,790,000
Receivables from long-term lease	129,318	129,019
Deposits for rental purpose	73,357	73,357
Interest income on long-term loans and bank deposits	343	946,204
Others	12,122	15,788
TOTAL	6,005,140	6,954,368
<i>In which:</i>		
Receivables from others	74,373	1,022,258
Receivables from related parties (Note 35)	5,930,767	5,932,110

(i) The balance comprises:

- Deposits and capital contribution of VND410.2 billion to a company within the Group for the purpose of investing in several real estate projects under Business and Investment Co-operation Contracts; and
- A deposit of VND341.5 billion to a counterparty to guarantee the signing of a share transfer agreement to purchase additional capital contribution in a subsidiary.

(ii) Mainly includes deposits and capital contribution to some companies within the Group for the purpose of investing in several real estate projects under Construction, Business and Investment Co-operation Contracts.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

10. BAD DEBTS

The Company and its subsidiaries' bad debts mainly include overdue receivables and loan principals from counterparties:

Debtor	30 June 2021		31 December 2020	
	Cost	Recoverable amount	Cost	Recoverable amount
Corporate and individual counterparties	142,996	61,612	49,794	-
TOTAL	142,996	61,612	49,794	-

Details of overdue receivables more than 10% of ending balance:

Individual counterparties	89,400	61,612	-	-
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11. INVENTORIES

	30 June 2021		31 December 2020	
	Cost	Provision	Cost	Provision
Inventory properties under construction (i)	32,324,691	-	39,606,536	-
Completed inventory properties	1,153,681	(9,706)	1,440,753	(9,706)
Inventories acquired for sales (ii)	256,044	(1,190)	334,462	(1,190)
Work in progress (iii)	1,520,984	-	978,351	-
Others (iv)	659,746	(29,221)	661,139	(26,683)
TOTAL	35,915,146	(40,117)	43,021,241	(37,579)

- (i) Mainly includes land use fee, land clearance costs, construction and development costs of Vinhomes Grand Park, Vinhomes Smart City, Vinhomes Ocean Park, Vinhomes Dream City Projects and other projects.
- (ii) Includes villas, apartments and shophouses acquired for sales of some real estate projects in Northern Vietnam.
- (iii) Includes the costs incurred related to the rendering of general constructor services, consultancy services to investors of real estate projects.
- (iv) Mainly includes inventories, material to provide to the developers of projects, products from white marble and other products.

As at 30 June 2021, inventories with carrying value of VND2,079 billion are pledged with banks to secure the loans of the Company and its subsidiaries.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

11. INVENTORIES (continued)

Detailed movements of provision for obsolete inventories:

	<i>Currency: million VND</i>	
	<i>For the six-month period ended 30 June 2021</i>	<i>For the six-month period ended 30 June 2020</i>
Beginning balance	37,579	9,768
Add: Provision made during the period	2,538	1,176
Less: Utilisation of provision during the period	-	-
Ending balance	<u>40,117</u>	<u>10,944</u>

12. PREPAID EXPENSES

	<i>Currency: million VND</i>	
	<i>30 June 2021</i>	<i>31 December 2020</i>
Short-term		
Selling expenses related to inventory properties not yet handed over	449,596	1,378,412
Provisional corporate income tax	229,581	281,075
Bonds management service fees	35,068	58,513
Others	58,904	66,595
TOTAL	<u>773,149</u>	<u>1,784,595</u>
Long-term		
Prepaid land rental (i)	1,688,918	2,202,159
Tools and supplies	34,257	37,271
Repair and leasehold improvement	13,589	16,474
Prepaid apartments and villas rental	6,901	13,849
Others	24,704	18,241
TOTAL	<u>1,768,369</u>	<u>2,287,994</u>

- (i) These are mainly prepaid land rental fees of Vinhomes Ocean Park Project and Vinhomes Smart City Project, and land rental rights for Ecology JSC's shopping malls operating under Business Co-operation Contracts.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

13. OTHER ASSETS

	Currency: million VND	
	30 June 2021	31 December 2020
Short-term		
Deposits for investment purpose (i)	6,837,362	6,832,475
Deposits for commercial purpose (iii)	1,032,336	-
TOTAL	7,869,698	6,832,475
<i>In which:</i>		
Deposits to other parties	3,719,998	2,682,775
Deposits to related parties (Note 35)	4,149,700	4,149,700
Long-term		
Deposits for investment purpose (ii)	38,479,770	38,479,770
Deposits for commercial purpose (iii)	-	1,032,336
TOTAL	38,479,770	39,512,106
<i>In which:</i>		
Deposits to other parties	-	1,032,336
Deposits to related parties (Note 35)	38,479,770	38,479,770

(i) Mainly comprises:

- ▶ Deposits of VND4,050 billion to some companies within the Group for the purpose of acquiring shares of several companies that own real estate projects of the Group; and
- ▶ Deposits of VND2,419 billion to some counterparties for the purpose of acquiring shares of some companies that own potential real estate projects. In which, deposits with total amount of VND1,976 billion are secured by some shares in the target companies.

(ii) Comprises deposits to some companies within the Group for the purpose of acquiring and developing several real estate projects and acquiring shares of companies that own several real estate projects of the Group.

(iii) An unsecured deposit to a counterparty earning interest rate which is determined by 12-month interest paid-in-arrear VND saving rate of Joint Stock Commercial Bank for Foreign Trade of Vietnam, adjusted every 3 months. The deposit and interest will be used as settlement for 10% of contract value under separate contracts between the Company and its affiliates and this counterparty.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

14. TANGIBLE FIXED ASSETS

	Buildings and structures	Machinery and equipment	Means of transportation	Office equipment	Others	Total
Currency: million VND						
Cost:						
As at 31 December 2020	4,082,153	1,648,906	97,915	23,546	20,744	5,873,264
Newly purchased	-	1,125	4,517	-	193	5,835
Newly constructed	392,583	34,538	2,273	-	-	429,394
Sold, disposed	-	(10,414)	(1,276)	(118)	(197)	(12,005)
Other decreases	(14,567)	(86,673)	(4,223)	-	-	(105,463)
As at 30 June 2021	4,460,169	1,587,482	99,206	23,428	20,740	6,191,025
<i>In which:</i>						
<i>Fully depreciated</i>	-	27,746	3,262	2,220	206	33,434
Accumulated depreciation:						
As at 31 December 2020	89,547	72,070	10,929	9,155	8,358	190,059
Depreciation for the period	56,710	108,960	6,490	3,197	1,029	176,386
Sold, disposed	-	(10,298)	(1,226)	(118)	(180)	(11,822)
As at 30 June 2021	146,257	170,732	16,193	12,234	9,207	354,623
Net carrying amount:						
As at 31 December 2020	3,992,606	1,576,836	86,986	14,391	12,386	5,683,205
As at 30 June 2021	4,313,912	1,416,750	83,013	11,194	11,533	5,836,402

As at 30 June 2021, tangible fixed assets with carrying value of VND1,106 billion are pledged with banks to secure loans of the Company and its subsidiaries.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

15. INVESTMENT PROPERTIES

	Land use rights, buildings and structures	Machinery and equipment	Total
<i>Currency: million VND</i>			
Cost:			
As at 31 December 2020	8,118,713	1,113,109	9,231,822
Newly constructed	2,244,331	597,812	2,842,143
Acquisition of subsidiaries	172,335	54	172,389
Transfer to inventories	(67,787)	(4,429)	(72,216)
Other increases	40,639	3,788	44,427
As at 30 June 2021	10,508,231	1,710,334	12,218,565
<i>In which:</i>			
Fully depreciated	21,874	-	21,874
Accumulated depreciation:			
As at 31 December 2020	370,814	161,411	532,225
Depreciation for the period	97,016	76,982	173,998
As at 30 June 2021	467,830	238,393	706,223
Net carrying amount:			
As at 31 December 2020	7,747,899	951,698	8,699,597
As at 30 June 2021 (i)	10,040,401	1,471,941	11,512,342

(i) As at 30 June 2021, investment properties mainly include parking components, offices for lease, observation deck, cuisine and convention centre and apartments, villas and shophouses for lease.

The Company and its subsidiaries have not determined fair value of investment properties as at 30 June 2021 because of insufficient market information for fair value determination purpose.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

16. CAPITALISED BORROWING COSTS

During the period, the Company and its subsidiaries capitalised borrowing costs with an amount of approximately VND102 billion (for the six-month period ended 30 June 2020: VND251 billion). These borrowing costs mainly related to specific borrowings taken to finance the construction of Vinhomes Ocean Park, Vinhomes Smart City and Vinhomes Grand Park projects. The capitalised borrowing costs are determined by applying a capitalisation rate from 9.5% per annum to 10% per annum (for the six-month period ended 30 June 2020: 8.95% per annum to 10.45% per annum).

17. CONSTRUCTION IN PROGRESS

Construction in progress comprises construction costs, land clearance costs, land use fee, other costs and consideration for acquisition of subsidiaries allocated as a part of project acquisition costs.

Details for each item of which balance is higher than 10% of total balance are as follows:

	Currency: million VND	
	30 June 2021	31 December 2020
Vinhomes Long Beach Can Gio Project	12,591,201	12,534,630
Hoc Mon Urban Project	4,115,178	4,109,548
Vinhomes Grand Park Project	3,474,806	3,378,915

18. LONG-TERM INVESTMENTS

	Currency: million VND			
	30 June 2021		31 December 2020	
	Cost	Provision	Cost	Provision
Investments in associates (Note 18.1)	3,456,534	-	5,838,118	-
Investments in other entities (Note 18.2)	6,418,722	-	3,969,035	(235,991)
Held-to-maturity investments (i)	184,680	-	184,680	-
TOTAL	10,059,936	-	9,991,833	(235,991)

- (i) Balance as at 30 June 2021 includes investments in bank bonds in VND having terms ranging from 7 years to 10 years and earning interest at a reference rate plus (+) 0.9% to 1.2% per annum (as at 31 December 2020: terms ranging from 7 years to 10 years and earning interest at a reference rate plus (+) 0.9% to 1.2% per annum).

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

18. LONG-TERM INVESTMENTS (continued)

18.1 Investments in associates

Details of associates, voting rights and equity interest of the Company and its subsidiaries in associates as at 30 June 2021 are as follows:

No	Company name	No of shares	Voting right (%)	Equity interest (%)	Head office	Principal activities
1	Cam Ranh Investment Joint Stock Company ("Cam Ranh JSC")	164,028,749	43.74%	43.74%	Hon Tre Islands, Vinh Nguyen Ward, Nha Trang City, Khanh Hoa Province, Viet Nam	Investing, developing and trading real estate properties
2	Tuong Phu Natural Stone Exploiting and Processing LLC ("Tuong Phu LLC")	(*)	40.00%	24.77%	Sub-quarter 13, Yen The Townlet, Luc Yen District, Yen Bai Province, Viet Nam	Exploiting, processing and trading stones, sand, gravel and clay

(*) This is a limited liability company.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

18. LONG-TERM INVESTMENTS (continued)

18.1 Investments in associates (continued)

Details of investments in associates are as follows:

Currency: million VND

	Investments in			Total
	Cam Ranh JSC	MV1 Real Estate LLC	Tuong Phu LLC	
Cost of investment:				
As at 31 December 2020	3,395,395	2,412,849	11,348	5,819,592
Decrease (*)	-	(2,412,849)	-	(2,412,849)
As at 30 June 2021	3,395,395	-	11,348	3,406,743
Accumulated share in post-acquisition profit of the associates:				
As at 31 December 2020	18,526	-	-	18,526
Share profit of the associates for the period	31,265	-	-	31,265
As at 30 June 2021	49,791	-	-	49,791
Net carrying amount:				
As at 31 December 2020	3,413,921	2,412,849	11,348	5,838,118
As at 30 June 2021	3,445,186	-	11,348	3,456,534

(*) During the period, the Company and its subsidiaries disposed part of the investment in MV1 Vietnam Real Estate Trading LLC ("MV1 Real Estate LLC") to a counterparty and reclassified the remaining investment to investment in other entities (Note 18.2). Accordingly, gain from this transaction of VND1,735 billion is recognised in the interim consolidated income statement (Note 28.2).

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

18. LONG-TERM INVESTMENTS (continued)

18.2 Investments in other entities

	30 June 2021					31 December 2020				
	Voting right (%)	Ownership (%)	Cost (million VND)	Provision (million VND)	Fair value (million VND)	Voting right (%)	Ownership (%)	Cost (million VND)	Provision (million VND)	Fair value (million VND)
MV Vietnam Real Estate Trading JSC	19.82	19.82	2,179,638	-	(*)	19.82	19.82	2,179,638	-	(*)
MV1 Real Estate LLC	19.83	19.83	2,392,849	-	(*)	-	-	-	-	(*)
Vietnam Exhibition Fair Centre JSC	4.66	4.65	900,144	-	1,019,894	4.66	4.66	900,144	(235,991)	664,153
S-Vin Viet Nam Real Estate Trading JSC	10.00	10.00	363,621	-	(*)	10.00	10.00	363,621	-	(*)
Phat Loc Commercial Investment Trading LLC ("Phat Loc LLC") (ii)	-	51.00	342,909	-	(*)	-	51.00	342,909	-	(*)
SV Real Estate Investment Development Business JSC	4.00	4.00	97,000	-	(*)	4.00	4.00	77,000	-	(*)
SV West Hanoi Real Estate Business Development JSC	4.00	4.00	70,000	-	(*)	4.00	4.00	70,000	-	(*)
Xavinco Land JSC ("Xavinco JSC")	1.00	0.98	22,223	-	(*)	1.00	1.00	22,223	-	(*)
AIC Real Estate JSC	1.00	1.00	28,472	-	(*)	-	-	-	-	(*)
Thang Long Real Estate Trading Investment JSC	10.00	10.00	13,500	-	(*)	10.00	10.00	13,500	-	(*)
("Thang Long Real Estate JSC")	0.30	0.30	8,366	-	(*)	-	-	-	-	(*)
Vinpearl Invest JSC (i)										
TOTAL			6,418,722	-				3,969,035	(235,991)	

(*) As at 30 June 2021, the fair value of these investments has not been determined because of insufficient market information for fair value determination purpose.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

18. LONG-TERM INVESTMENTS (continued)

18.2 Investments in other entities (continued)

- (i) During the period, the Company and its subsidiaries acquired 100% shares in Times Trading LLC (Note 4). At the date of acquisition, Times Trading LLC is holding 0.3% of equity interest in Vinpearl Invest JSC. Thereby, Vinpearl Invest JSC became an investment in other entities of the Company.
- (ii) As at 30 June 2021, the Company no longer controlled or had significant influence over Phat Loc LLC. Thereby, the Company presented this investment as an other long-term investment.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

19. GOODWILL

Currency: million VND

	Goodwill arising from acquisition of Ecology JSC	Goodwill arising from acquisition of Vietnam Investment JSC	Goodwill arising from acquisition of Gia Lam LLC	Goodwill arising from acquisition of Management JSC (*)	Goodwill arising from acquisition of Tan Lien Phat JSC (*)	Goodwill arising from acquisition of Millenium LLC	Goodwill arising from acquisition of VinITIS JSC	Goodwill arising from acquisition of Sai Dong JSC	Goodwill arising from acquisition of Bao Lai JSC and its subsidiaries (**)	Total
Cost:										
As at 31 December 2020	369,867	288,149	1,235	115,728	337,767	153,044	76,637	520,364	1,263,323	3,126,114
As at 30 June 2021	369,867	288,149	1,235	115,728	337,767	153,044	76,637	520,364	1,263,323	3,126,114
Accumulated amortisation:										
As at 31 December 2020	149,568	116,523	499	33,767	98,554	39,624	5,774	2,566	-	446,875
Amortisation for the period	18,342	14,289	61	5,739	16,750	7,589	3,800	25,971	62,993	155,534
As at 30 June 2021	167,910	130,812	560	39,506	115,304	47,213	9,574	28,537	62,993	602,409
Net carrying amount:										
As at 31 December 2020	220,299	171,626	736	81,961	239,213	113,420	70,863	517,798	1,263,323	2,679,239
As at 30 June 2021	201,957	157,337	675	76,222	222,463	105,831	67,063	491,827	1,200,330	2,523,705

(*) These companies were merged into the Company in 2018.

(**) The Company applied provisional accounting for this transaction.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

20. SHORT-TERM TRADE PAYABLES AND ADVANCES FROM CUSTOMERS

20.1 Short-term trade payables

Currency: million VND

	<i>Balance, also payable amount</i>	
	<i>30 June 2021</i>	<i>31 December 2020</i>
Short-term trade payables	11,102,653	10,235,689
Trade payables to related parties (Note 35)	1,126,120	1,165,795
TOTAL	12,228,773	11,401,484

20.2 Short-term advances from customers

Currency: million VND

	<i>30 June 2021</i>	<i>31 December 2020</i>
Down payments from customers under sales and purchase agreements (i)	21,073,076	25,677,901
Advances from customers for construction services	1,917,629	1,267,859
Others	34,882	22,975
TOTAL	23,025,587	26,968,735
<i>In which:</i>		
Advances from others	23,025,587	26,968,735

(i) These mainly represent down payments from customers who purchase inventory properties at real estate projects of the Company and its subsidiaries.

21. STATUTORY OBLIGATIONS

Currency: million VND

	<i>31 December 2020</i>	<i>Payable for the period</i>	<i>Payment made in the period</i>	<i>30 June 2021</i>
Payables				
Corporate income tax	4,207,140	4,124,627	(4,609,590)	3,722,177
Value added tax	375,268	1,073,279	(496,524)	952,023
Other taxes	452,659	441,964	(437,477)	457,146
TOTAL	5,035,067	5,639,870	(5,543,591)	5,131,346
	<i>31 December 2020</i>	<i>Receivable for the period</i>	<i>Offset during the period</i>	<i>30 June 2021</i>
Receivables				
Value added tax	309,066	1,565,111	(1,575,620)	298,557
Corporate income tax	41,680	8,213	(16,259)	33,634
Other taxes	291	404	-	695
TOTAL	351,037	1,573,728	(1,591,879)	332,886

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

22. ACCRUED EXPENSES

	Currency: million VND	
	30 June 2021	31 December 2020
Short-term		
Accrued costs for operating tangible fixed assets, investment properties and handed over inventory properties	11,080,813	9,238,457
Accrued commission fees and other expenses related to inventory properties	2,335,353	1,743,107
Accrued voucher costs	1,543,850	209,140
Accrued construction costs	1,561,902	2,087,810
Accrued bond and loan interest expenses	275,083	306,178
Others	378,855	328,092
TOTAL	17,175,856	13,912,784
<i>In which:</i>		
Short-term accrual to others	15,464,093	13,675,857
Short-term accrual to related parties (Note 35)	1,711,763	236,927
Long-term		
Accrued loan interest expenses	1,332,434	1,368,029
Others	21,965	41,669
TOTAL	1,354,399	1,409,698
<i>In which:</i>		
Long-term accrual to others	1,354,399	1,119,163
Long-term accrual to related parties	-	290,535

23. UNEARNED REVENUE

	Currency: million VND	
	30 June 2021	31 December 2020
Short-term		
Unearned revenue from real estate management service	523,331	507,131
Unearned revenue from leasing service	40,943	24,568
TOTAL	564,274	531,699
Long-term		
Unearned revenue from real estate management service	1,171,845	1,334,326
Unearned revenue from leasing service	232,777	256,266
Unrealised profit from transactions with associates	-	1,735,405
TOTAL	1,404,622	3,325,997

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

24. OTHER PAYABLES

	Currency: million VND	
	30 June 2021	31 December 2020
Short-term		
Deposits and other agreements related to real estate projects (i)	15,305,565	28,590,821
Dividend payables (ii)	4,934,271	2,637
Deposits under Business and Investment Co-operation Contracts (iii)	2,060,820	1,868,702
Apartment maintenance funds held on behalf of customers (iv)	1,872,752	2,106,981
Deposit for transfer of investments	561,000	-
Deposits from brokerage agents and tenants	295,617	190,782
Payables for receipt on behalf	87,339	156,599
Others	1,047,232	1,116,300
TOTAL	26,164,596	34,032,822
<i>In which:</i>		
Other short-term payables to others	23,612,139	31,379,064
Other short-term payables to related parties (Note 35)	2,552,457	2,653,758
Long-term		
Deposits under Business and Investment Co-operation Contracts (iii)	163,000	163,000
Long-term deposits for real estate leasing purposes	76,733	85,410
Deposits and other agreements related to real estate projects (i)	-	2,728,138
Deposits for transfer of investments	-	561,000
Others	3,465	-
TOTAL	243,198	3,537,548
<i>In which:</i>		
Other long-term payables to others	80,198	3,374,548
Other long-term payables to related parties (Note 35)	163,000	163,000

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

24. OTHER PAYABLES (continued)

- (i) Balance as at 30 June 2021 includes cash receipts under deposits and other agreements from customers and corporate counterparties related to real estate properties of the Company and its subsidiaries.
- (ii) In June 2021, the Company's General Meeting of Shareholders approved the plan to use the accumulated after-tax profit in 2020 to pay dividends by cash at the rate of 15%/share (1 share receives VND1,500) (Note 27.4).
- (iii) These pertain to deposits from a number of affiliates to the Company and its subsidiaries pursuant to Business and Investment Co-operation Contracts for purpose of operating and transferring co-operation of shopping mall and other components of real estate projects of the Company and its subsidiaries.
- (iv) These pertain to maintenance funds held on behalf of customers of real estate projects of the Company and its subsidiaries, which will be handed over to Building Management Boards. The Company and its subsidiaries are maintaining these funds in cash equivalents and held-to-maturity investments.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

25. LOANS

	31 December 2020		Movement during the period		30 June 2021	
	Balance	Payable amount	Increase	Decrease	Balance	Payable amount
	Currency: million VND					
Short-term						
Short-term loans from banks						
Current portion of long-term loan from banks (Note 25.1)	590,000	590,000	564,745	(1,154,745)	-	-
Loans from counterparties (Note 25.2)	1,380,950	1,380,950	524,940	(1,557,065)	348,825	348,825
Current portion of long-term corporate bonds (Note 25.3)	-	-	400,000	-	400,000	400,000
Loans from related parties (Note 35.4)	8,442,360	8,442,360	49,622	-	8,491,982	8,491,982
	584,416	584,416	737,000	(584,416)	737,000	737,000
	10,997,726	10,997,726	2,276,307	(3,296,226)	9,977,807	9,977,807
Long-term						
Long-term loans from banks (Note 25.1)	510,814	510,814	421,630	(524,940)	407,504	407,504
Loans from counterparties (Note 25.2)	5,320,000	5,320,000	1,650,000	(400,000)	6,570,000	6,570,000
Corporate bonds (Note 25.3)	7,389,921	7,389,921	16,632	(1,500,000)	5,906,553	5,906,553
Loans from related parties (Note 35.4)	737,000	737,000	318,000	(1,055,000)	-	-
	13,957,735	13,957,735	2,406,262	(3,479,940)	12,884,057	12,884,057
TOTAL	24,955,461	24,955,461	4,682,569	(6,776,166)	22,861,864	22,861,864

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

25. LOANS (continued)

25.1 Loans from banks

Details of long-term and current portion of long-term loans from banks are presented as below:

Lender	30 June 2021		Maturity date	Collateral
	Currency	million VND		
Bank for Investment and Development of Vietnam	VND	437,504	From October 2021 to August 2024	(i)
<i>In which: Current portion of long-term loans</i>	VND	30,000		
Vietnam Joint Stock Commercial Bank for Industry and Trade	VND	205,407	From September 2021 to June 2022	(i)
<i>In which: Current portion of long-term loans</i>	VND	205,407		
Vietnam Joint Stock Commercial Bank for Industry and Trade	USD	113,418	From September 2021 to June 2022	(i)
<i>In which: Current portion of long-term loans</i>	USD	113,418		
TOTAL		756,329		
<i>In which:</i>				
Long-term loans		407,504		
Current portion of long-term loans		348,825		

Details of interests on long-term and current portion of long-term loans from banks as at 30 June 2021 are as follow:

Loans	Currency	Interest
Secured loans	VND	Floating interest, interest rate during the period ranges from 9.5% to 10% per annum
Secured loans	USD	Floating interest, interest rate during the period is 5.5% per annum

(i) As at 30 June 2021, these loans are secured by the following collaterals:

- Tangible fixed assets (Note 14), inventories (Note 11) and other benefits related to these assets.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

25. LOANS (continued)

25.2 Loans from counterparties

Details of loans from counterparties:

- ▶ Long-term loans from five (05) corporate counterparties with total principal of VND6,570 billion, bearing the interest rate at 9% per annum with maturity date from July 2022 to December 2022; and
- ▶ Current portion of long-term loans from one (01) corporate counterparty with total principal of VND400 billion, bearing the interest rate at 9% per annum with maturity date in June 2022.

25.3 Corporate bonds

	Currency: million VND	
	30 June 2021	31 December 2020
Long-term corporate bonds	14,398,535	15,832,281
<i>In which: Current portion of long-term corporate bonds</i>	<i>(8,491,982)</i>	<i>(8,442,360)</i>
TOTAL	5,906,553	7,389,921

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

25. LOANS (continued)

25.3 Corporate bonds (continued)

<i>Underwriter</i>	<i>30 June 2021 (million VND)</i>	<i>Maturity date</i>	<i>Interest</i>	<i>Collateral</i>
Techcom Securities Joint Stock Company <i>In which: Current portion of long-term bonds</i>	11,900,050 6,492,815	From November 2021 to May 2023	Interest rate for the first four periods is from 9% to 10% per annum. Interest rate for the following periods is calculated as 12-month interest paid-in-arrear VND saving rate plus 3.25% per annum. Interest is payable every 3 months.	(i)
Techcom Securities Joint Stock Company <i>In which: Current portion of long-term bonds</i>	1,999,167 1,999,167	August 2021	Interest rate for the first and second period is 10% per annum. Interest rate for the following periods is calculated as 12-month interest paid-in-arrear VND saving rate plus 4.25% per annum. Interest is payable every 6 months.	(ii)
KB Securities Vietnam Joint Stock Company	499,318	May 2023	Interest rate from issuance date to 31 December 2020 is 9.5% per annum. Interest rate for the following periods is calculated as regular saving rate and 12-month VND individual saving rate plus 2.3% per annum. Interest is payable every 3 months.	(i)

TOTAL **14,398,535**

In which:

Long-term bonds 5,906,553
Current portion of long-term bonds 8,491,982

(i) As at 30 June 2021, these corporate bonds are secured by the following collaterals:

- A number of listed shares of some companies within the Group; and
- A hospitality real estate project; a part of commercial project; asset rights, project development rights and bank balance related to a functional urban area project in Northern Vietnam; all legal rights and benefits related to the aforementioned project as stipulated in the Build-Transfer contract for the construction of Ring Road 2 project.

(ii) This bond is unsecured.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

26. PROVISIONS

26.1 Short-term provisions

The short-term provisions balance at 30 June 2021 includes the provision related to a deposit for payments under commercial purchase contracts.

26.2 Long-term provisions

The long-term provisions balance at 30 June 2021 mainly includes provisions for warranty costs for inventory properties at the Company and its subsidiaries' projects in accordance with the warranty clause in sales and purchase agreements.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

27. OWNERS' EQUITY

27.1 Increase and decrease in owners' equity

Currency: million VND

	Attributable to shareholders of the parent					Non-controlling interests	Total
	Issued share capital	Share premium	Treasury shares	Other funds belonging to owners' equity	Undistributed earnings		
For the six-month period ended 30 June 2020							
As at 1 January 2020	33,495,139	295,000	(5,549,929)	1,816,269	26,039,678	8,618,886	64,715,043
- Step-up acquisition of equity interest in existing subsidiaries	-	-	-	-	1,924,733	(1,851,515)	73,218
- Net profit for the period	-	-	-	-	10,278,579	782,743	11,061,322
- Cash dividends declared	-	-	-	-	-	(63,716)	(63,716)
- Appropriation to other reserves	-	-	-	10,000	(10,000)	-	-
As at 30 June 2020	33,495,139	295,000	(5,549,929)	1,826,269	38,232,990	7,486,398	75,785,867
For the six-month period ended 30 June 2021							
As at 1 January 2021	33,495,139	295,000	(5,549,929)	1,200,896	56,259,405	3,429,404	89,129,915
- Acquisition of new subsidiary (Note 4)	-	-	-	(681,541)	-	-	(681,541)
- Change in equity interest in existing subsidiaries without loss of control	-	-	-	-	(161,787)	161,787	-
- Net profit for the period	-	-	-	-	15,917,392	132,505	16,049,897
- Cash dividends declared (Note 27.4)	-	-	-	-	(4,934,271)	-	(4,934,271)
- Profit and dividends attributable to non-controlling interests by subsidiaries	-	-	-	-	-	(95,198)	(95,198)
- Appropriation to other reserves	-	-	-	5,000	(5,000)	-	-
- Other decrease	-	-	-	-	(18,474)	(3,000)	(21,474)
As at 30 June 2021	33,495,139	295,000	(5,549,929)	524,355	67,057,265	3,625,498	99,447,328

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

27. OWNERS' EQUITY (continued)

27.2 Capital transactions with owners

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Contributed share capital from owners		
Beginning balance	33,495,139	33,495,139
Ending balance	33,495,139	33,495,139

27.3 Ordinary shares and preference shares

	Unit: Shares	
	30 June 2021	31 December 2020
Authorised shares	3,349,513,918	3,349,513,918
Issued shares	3,349,513,918	3,349,513,918
Ordinary shares	3,349,513,918	3,349,513,918
Preference shares	-	-
Treasury shares	60,000,000	60,000,000
Ordinary shares	60,000,000	60,000,000
Preference shares	-	-
Shares in circulation	3,289,513,918	3,289,513,918
Ordinary shares	3,289,513,918	3,289,513,918
Preference shares	-	-

The par value of outstanding shares: VND10,000 per share (as at 31 December 2020: VND10,000 per share).

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

27. OWNERS' EQUITY (continued)

27.4 Dividends

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Dividends declared and paid during the period	-	-
Dividends declared and recognised as liability as at 30 June	4,934,271	-
<i>Dividends on ordinary shares</i>		
Cash dividends for 2021: VND1,500 per share (2020: VND0 per share) (i)	4,934,271	-
Dividends declared and not yet recognised as at 30 June	10,138,542	-
<i>Dividends on ordinary shares</i>		
Cash dividends for 2021: VND1,500 per share (2020: VND0 per share) (i) (ii)	90,000	-
Share dividends for 2021: 300 shares per 1,000 shares (2020: 0 shares) (i) (ii)	10,048,542	-
(i) According to Resolution No. 01/2021/NQ-DHDCD-VHM dated 25 June 2021, the Company's General Meeting of Shareholders has approved the plan to use the net profit after tax in 2020. Accordingly, the Company will pay cash dividends at rate of 15%/share (1 share is entitled to VND1,500) and share dividends at rate of 30%/share (each existing shareholder owning 1,000 shares will receive a dividend equal to 300 shares). (ii) On 28 June 2021, the Board of Directors of the Company issued Resolution No. 12/2021/NQ-HDQT-VH approving the plan to pay share dividends to shareholders from accumulated profit after tax to 31 December 2020 with the value of VND9,868 billion. Subsequently, according to Resolution No. 03/2021/NQ-DHDCD-VH dated 12 August 2021 and Resolution No. 22/2021/NQ-HDQT-VH dated 16 August 2021, the Company's General Meeting of Shareholders and Board of Directors have approved the revision to the plan to appropriate the accumulated retained earnings up to 31 December 2020 at rate of 45%, which include 15% in cash dividends and 30% in share dividends. Accordingly, total cash dividends for 2021 increased to VND5,024 billion (increasing by VND90 billion compared to Resolution No. 01/2021/NQ-DHDCD-VHM) and 1,004,854,175 share dividends with the total par value of VND10,048 billion. As at the date of this interim consolidated financial statements, the Company is still under the process to increase its share capital for the purpose of paying share dividends as mentioned above.		

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

28. REVENUES

28.1 Revenue from sale of goods and rendering of services

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Gross revenue	41,001,561	22,895,706
<i>In which:</i>		
Revenue from sales of inventory properties	35,323,280	21,347,629
Revenue from rendering general contractor, construction consultancy and supervision services	3,226,164	99,617
Revenue from rendering real estate management and related services	1,090,812	824,655
Revenue from leasing activities and rendering related services	439,321	464,318
Others	921,984	159,487
Deductions	-	-
Net revenue	41,001,561	22,895,706
<i>In which:</i>		
Revenue from others	40,748,914	22,671,756
Revenue from related parties	252,647	223,950

28.2 Finance income

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Gain from transfer of investment (i)	1,768,022	7,561,726
Interest income from deposits and lending	787,161	1,320,444
Income from Business and Investment Co-operation Contracts (ii)	293,377	440,969
Other finance income	9,860	100,268
TOTAL	2,858,420	9,423,407

(i) Mainly pertains to gain from transfer capital contribution in an associate (Note 18.1).

(ii) Income from Business and Investment Co-operation Contracts with Vingroup JSC for the development purpose of Vinhomes Riverside The Harmony, Vinhomes Imperia Hai Phong and Vinhomes Star City Thanh Hoa Projects; and revenue from Business and Investment Co-operation Contract with affiliates.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

28. REVENUES (continued)

28.3 Revenues and expenses relating to investment properties

Currency: million VND

	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Rental income from investment properties	559,544	496,670
Direct operating expenses of investment properties that generated rental income during the period	(212,019)	(179,525)

29. COST OF GOODS SOLD AND SERVICES RENDERED

Currency: million VND

	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Cost of inventory properties sold	15,468,174	12,372,441
Cost of rendering general contractor, construction consultancy and supervision services	3,019,140	63,509
Cost of rendering real estate management and other related services	876,505	804,777
Cost of leasing activities and other related costs	197,612	227,761
Others	778,767	53,583
TOTAL	20,340,198	13,522,071

30. FINANCE EXPENSES

Currency: million VND

	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Loan interest and bond issuance costs	1,207,186	1,303,632
Reversal of provision for investment	(235,991)	-
Other finance expenses	167,433	4,029
TOTAL	1,138,628	1,307,661

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

31. SELLING EXPENSES AND GENERAL AND ADMINISTRATIVE EXPENSES

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Selling expenses		
Commission fees	670,352	433,404
Advertising, marketing expenses	136,402	139,807
Labour costs	106,948	136,369
Rental expenses of retail outlets	57,006	56,486
Others	40,006	32,950
TOTAL	1,010,714	799,016
General and administrative expenses		
Expenses for external services	374,119	355,480
Depreciation and amortisation (including amortisation of goodwill)	172,361	83,770
Labour costs	107,256	119,680
Donation fee, provision/(reversal of provision) and other administrative expenses	265,741	525,473
TOTAL	919,477	1,084,403

32. OTHER EXPENSES

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Penalty expenses	12,485	924,451
Others	58,682	49,752
TOTAL	71,167	974,203

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

33. PRODUCTION AND OPERATING COSTS

	<i>Currency: million VND</i>	
	<i>For the six-month period ended 30 June 2021</i>	<i>For the six-month period ended 30 June 2020</i>
Cost of developing inventory properties	7,522,131	15,101,164
Expenses for external services	5,091,010	1,823,944
Labour costs	696,560	648,558
Depreciation and amortisation (including amortisation of goodwill)	533,825	203,230
Others	535,771	555,677
TOTAL	14,379,297	18,332,573

34. CORPORATE INCOME TAX

The current corporate income tax ("CIT") rate applicable to the Company and its subsidiaries is 20% of taxable profits (prior period: 20%).

The tax returns filed by the Company and its subsidiaries are subject to examination by the tax authorities. As the application of tax laws and regulations is susceptible to varying interpretations, the amounts reported in the interim consolidated financial statements could be changed at a later date upon final determination by the tax authorities.

34.1 CIT expenses

	<i>Currency: million VND</i>	
	<i>For the six-month period ended 30 June 2021</i>	<i>For the six-month period ended 30 June 2020</i>
Current tax expenses	4,226,505	3,518,770
Deferred tax expenses	254,543	116,500
TOTAL	4,481,048	3,635,270

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

34. CORPORATE INCOME TAX (continued)

34.1 CIT expenses (continued)

Reconciliation between CIT expenses and the accounting profit multiplied by applicable CIT rate is presented below:

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Accounting profit before tax	20,530,945	14,696,592
At CIT rate of 20%	4,106,189	2,939,318
<i>Adjustments for:</i>		
Impacts from acquisition, disposal and legal merge transactions in the interim consolidated financial statements	-	359,285
Losses of subsidiaries	104,119	192,981
Losses ineligible for offsetting against taxable income	47,412	38,517
Non-deductible expenses	34,447	210,611
Prior periods non-deductible interest expense realised in this period according to guidance under Decree No. 132/2020/ND-CP (*)	(185,310)	-
Goodwill amortisation in the interim consolidated financial statements	31,107	13,005
Differences of cost of goods sold between the individual interim financial statements and the consolidated interim financial statements arising from merger and acquisition transactions	398,164	(24,171)
Shared profit after tax under Business and Investment Co-operation Contracts	(26,907)	(55,526)
Adjustment for over-accrual of tax from prior year	-	(19,706)
Share of profit of associates	(6,253)	-
Tax losses carried forward	(15,195)	-
Others	(6,725)	(19,044)
CIT expenses	4,481,048	3,635,270

(*) According to the guidance of Decree No. 132/2020/ND-CP dated 5 November 2020 on tax administration for interest expenses of enterprises with related-party transactions issued by the Government, the Company and its subsidiaries have recorded adjustment to reduce CIT expenses in the current period with a total value of VND185 billion.

34.2 Current CIT expenses

The current CIT payable is based on taxable income for the current period. The taxable income of the Company and its subsidiaries for the period differs from the profit as reported in the interim consolidated income statement because it excludes items of income or expense that are taxable or deductible in other periods and it further excludes items that are not taxable or deductible. The Company and its subsidiaries' liability for current tax is calculated using tax rates that have been enacted by the interim consolidated balance sheet date.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

34. CORPORATE INCOME TAX (continued)

34.3 Deferred tax

The following are the deferred tax assets and deferred tax liabilities recognised by the Company and its subsidiaries, and the movement thereon, during the current and previous periods:

	Interim consolidated balance sheet		Interim consolidated income statement	
	30 June 2021	31 December 2020	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Deferred tax assets				
Accrued expense and deferred revenue	279,454	196,568	82,886	11,218
Differences arising from revaluation of net asset of subsidiaries at acquisition date	78,886	72,393	6,493	-
Differences arising from unrealised profit	50,694	397,703	(347,009)	41,307
Differences arising from selling expenses for real estate projects	15,806	52,014	(36,208)	(168,348)
Differences from temporarily non-deductible expenses	28,355	8,478	19,877	-
Differences arising from revaluation of net asset of subsidiaries under legal merge transaction	-	-	-	(77)
Provision for obsolete inventories	-	-	-	(600)
	453,195	727,156		
Deferred tax liabilities				
Differences arising from revaluation of net asset of subsidiaries at acquisition date	(179,455)	(198,873)	19,418	-
	(179,455)	(198,873)		
Net deferred tax assets	273,740	528,283		
Net deferred tax charge to the interim consolidated income statement			(254,543)	(116,500)

Currency: million VND

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2020 and for the six-month period then ended**34. CORPORATE INCOME TAX (continued)****34.4 Unrecognised deferred tax*****Tax losses carried forward***

The Company and its subsidiaries are entitled to carry tax loss forward to offset against taxable income arising within five years subsequent to the year in which the loss was incurred. At the consolidated interim balance sheet date, the Company and its subsidiaries have aggregated accumulated tax losses of VND2,323.9 billion (31 December 2020: VND1,058.7 billion) available for offset against future taxable income.

No deferred tax assets have been recognised in respect of these accumulated tax losses because future taxable income cannot be ascertained at this stage.

Non-deductible interest expense

Non-deductible interest expense under Decree 132/2020/ND-CP shall be carried forward to the next tax period when determining total deductible interest expense in case the total interest expense deducted for the next tax period is lower than the level prescribed in this Decree within five years subsequent to the year in which the aforementioned non-deductible interest was incurred. The deferred tax assets have not been recognised in respect of this non-deductible interest expense because future taxable profits and the conditions to deduct in subsequent tax periods cannot be ascertained at this stage.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES

35.1 Significant transactions of the Company and its subsidiaries with related parties

Significant transactions with related parties during the current and previous periods were as follows:

Related parties	Relationship	Transactions	Currency: million VND	
			For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Vingroup JSC	Parent company	Lending	13,959,800	19,070,000
		Collection of lending	12,277,195	10,470,000
		Payables from acquisition of an investment	561,000	-
		Offset lending and other receivables/payables	662,605	-
		Management service payables	237,848	326,592
		Payment for management service	273,190	250,000
		Receivables from shared profit from Business Co-operation Contracts	115,018	400,060
		Deposits under project development agreements, project transfer agreements and share transfer agreements	-	8,450,000
		Contribution for Business and Investment Co-operation Contracts	-	3,000,000
		Advance for charity expenses	966,457	-
Kind Heart Foundation	Under common owner	Refund of charity expenses	499,300	-
		Payables for charitable purpose	69,293	647,000
		Repayment of borrowings	575,000	-
		Receivables from shared profit from Business Co-operation Contracts	168,000	-
		Profit sharing from Business Co-operation Contracts	353,000	-
Vinfast Trading and Production LLC ("Vinfast LLC")	Affiliate	Lending	-	2,310,000
		Deposits for investment and project transfer purpose	-	5,900,000
		Collection of lending	-	3,960,000
		Payables for goods purchased	1,547,090	1,919,060
		Payment for goods purchased	419,106	1,919,060
Vinfast Commercial and Services Trading LLC ("Vinfast Trading LLC")	Affiliate			

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.1 Significant transactions of the Company and its subsidiaries with related parties (continued)

Significant transactions with related parties during the current and previous periods were as follows: (continued)

Related parties	Relationship	Transactions	Currency: million VND	
			For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Xavinco JSC	Affiliate	Borrowings	336,000	-
		Repayment of borrowings	336,000	-
Xalivico LLC	Affiliate	Borrowings	401,000	-
		Repayment of borrowings	401,000	-
Vincom Retail JSC	Affiliate	Deposit received for Investment Co-operation Contract	192,118	618,538
		Repayment of deposit for Investment Co-operation Contract	202,122	-
Vincom Retail Operation LLC (previously known as North Vincom Retail LLC)	Affiliate	Sales of inventory properties received	131,396	-
Vinsmart Research and Manufacture JSC ("Vinsmart JSC")	Affiliate	Payments for goods purchased	278,508	-
		Lending	-	1,600,000
Vinpearl JSC	Affiliate	Collection of lending	-	3,855,000
		Lending	-	12,399,000
		Deposits under investment and development project	-	300,000
		Collection of lending	-	15,339,000

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.1 Significant transactions of the Company and its subsidiaries with related parties (continued)

Significant transactions with related parties during the current and previous period were as follows: (continued)

Terms and conditions of transactions with related parties

The Company and its subsidiaries have sold/purchased goods and rendering/purchased services to/from related parties based on negotiated market prices and contract terms.

Payables and receivables (except for some lending, borrowings and deposits for share transfer) as at 30 June 2021 are unsecured, free of interest and will be settled in cash. During the six-month period ended 30 June 2021, the Company and its subsidiaries have not made provision for doubtful debts relating to amounts due from related parties (31 December 2020: nil). This assessment is undertaken each financial period through the examination of the financial position of the related parties and the market in which the related parties operate.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.2 Amounts due to and due from related parties

Amounts due to and due from related parties as at 30 June 2021 and 31 December 2020 were as follows:

Currency: million VND

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 June 2021</i>	<i>31 December 2020</i>
Short-term trade receivables (Note 7.1)				
Vincom Retail Operation LLC	Affiliate	Receivables from sales of inventory properties	-	122,728
Other affiliates		Other trade receivables (i)	158,408	192,504
			158,408	315,232

(i) Other short-term trade receivables mainly include receivables from shared profit, general contractors and technological services.

Short-term advances to suppliers (Note 7.2)

Short-term advance to suppliers mainly includes advances for goods and services.

Amounts due to and due from related parties as at 30 June 2021 and 31 December 2020 were as follows: (continued)

Currency: million VND

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 June 2021</i>	<i>31 December 2020</i>
Other short-term receivables (Note 9) (ii)				
Vingroup JSC	Parent company	Capital contribution and deposits for Business and Investment Co-operation Contract	410,230	410,230
Kind Heart Foundation	Under common owner	Advance for charity expenses	966,457	499,300
Other affiliates		Other receivables	280,494	230,063
			1,657,181	1,139,593
Other long-term receivables (Note 9) (ii)				
Vingroup JSC	Parent company	Deposit for Business and Investment Co-operation Contract	3,000,000	3,000,000
VinAcademy Education and Training LLC	Affiliate	Capital contribution for Business and Investment Co-operation Contract	2,790,000	2,790,000
Other affiliates		Other receivables	140,767	142,110
			5,930,767	5,932,110

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.2 Amounts due to and due from related parties (continued)

Amounts due to and due from related parties as at 30 June 2021 and 31 December 2020 were as follows: (continued)

Currency: million VND

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 June 2021</i>	<i>31 December 2020</i>
Other current assets (Note 13) (ii)				
Vinpearl JSC	Affiliate	Deposit for investment and share transfer purpose	3,950,000	3,950,000
Vingroup JSC	Parent company	Deposit for share transfer purpose	199,700	199,700
			4,149,700	4,149,700
Other non-current assets (Note 13) (ii)				
Vingroup JSC	Parent company	Deposit for project transfer, project development and share transfer purpose	21,474,770	21,474,770
Vinfast LLC	Affiliate	Deposit for project transfer purpose	17,005,000	17,005,000
			38,479,770	38,479,770

- (ii) The deposits to Vingroup JSC amounting to VND3,062.8 billion for share transfer of some companies within the Group which are the owners of potential real estate projects are secured by shares of these companies with all rights and interests attached thereto. The remaining deposits are unsecured.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.2 Amounts due to and due from related parties (continued)

Amounts due to and due from related parties as at 30 June 2021 and 31 December 2020 were as follows: (continued)

Currency: million VND

Related parties	Relationship	Transactions	30 June 2021	31 December 2020
Short-term trade payables (Note 20.1)				
Vingroup JSC	Parent company	Management service fee payables	165,094	368,319
		Other service fee payables	167,329	99,170
		Payables from acquisition of an investment	561,000	-
Vinfast Trading LLC	Affiliate	Payables for goods purchased	-	210,000
Vinsmart JSC	Affiliate	Payables for goods purchased	200,186	407,628
Other affiliates		Other trade payables	32,511	80,678
			1,126,120	1,165,795

Short-term accrued expenses (Note 22)

Short-term accrued expenses mainly include payables to an affiliate for purchasing vouchers.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.2 Amounts due to and due from related parties (continued)

Amounts due to and due from related parties as at 30 June 2021 and 31 December 2020 were as follows: (continued)

Currency: million VND

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 June 2021</i>	<i>31 December 2020</i>
Other short-term payables (Note 24)				
Vincom Retail JSC	Affiliate	Deposit received for Investment Co-operation Contract (*)	1,860,820	1,668,702
		Other payables	50,331	269,833
Vinschool One Member LLC ("Vinschool LLC")	Affiliate	Other payables	262,644	271,338
Vinwonders JSC	Affiliate	Deposit received for Investment Co-operation Contract (*)	200,000	200,000
Other affiliates		Other payables (**)	178,662	243,885
			2,552,457	2,653,758

(*) These pertain to deposits pursuant to Business and Investment Co-operation Contracts for purpose of operating and transferring co-operation of shopping mall and other components of Vinhomes Smart City, Vinhomes Grand Park and other projects; in which, the deposits for shopping mall components bear the interest at 10% per annum.

(**) Other payables mainly include deposits received for Investment Co-operation Contracts.

Other long-term payables (Note 24)

Other long-term payables comprise deposit received from an affiliate for the purpose of operating and transferring co-operation of shopping mall component of Vinhomes Long Beach Can Gio.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.3 Details of lending to related parties (Note 8)

Details of short-term lending as at 30 June 2021:

<i>Related parties</i>	<i>Relationship</i>	<i>Balance (million VND)</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collateral</i>
Vingroup JSC	Parent company	1,380,000	9%	June 2022	None
Thang Long Real Estate JSC	Affiliate	11,200	9%	December 2021	(i)
		<u>1,391,200</u>			

(i) This lending is secured by capital contribution of a company within the Group.

The Company and its subsidiaries have no long-term lending to related parties at 30 June 2021.

Details of short-term lending as at 31 December 2020:

<i>Related parties</i>	<i>Relationship</i>	<i>Balance (million VND)</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collateral</i>
Thang Long Real Estate JSC	Affiliate	11,200	9%	December 2021	(i)
		<u>11,200</u>			

(i) This lending is secured by capital contribution of a company within the Group.

Details of long-term lending as at 31 December 2020:

<i>Related parties</i>	<i>Relationship</i>	<i>Balance (million VND)</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collateral</i>
Vingroup JSC	Parent company	360,000	9%	September 2022	(i)
		<u>360,000</u>			

(i) This lending is secured by capital contribution of a company within the Group.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.4 Details of borrowings from related parties (Note 25)

Details of short-term borrowings as at 30 June 2021:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount (million VND)</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collateral</i>
Xavinco JSC	Affiliate	336,000	9%	May 2022	(i)
Xalivico LLC	Affiliate	401,000	9%	May 2022	(i)
		737,000			

(i) These loans are secured by shares of the Company in a subsidiary.

The Company and its subsidiaries have no long-term borrowings to related parties at 30 June 2021.

Details of short-term borrowings as at 31 December 2020:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount (million VND)</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collateral</i>
Vingroup JSC	Parent company	9,416	9%	August 2021	None
Vinfast LLC	Affiliate	575,000	9%	December 2021	None
		584,416			

Details of long-term borrowings as at 31 December 2020:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount (million VND)</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collateral</i>
Xavinco JSC	Affiliate	336,000	9%	July 2022	(i)
Xalivico LLC	Affiliate	401,000	9%	July 2022	(i)
		737,000			

(i) These loans are secured by shares of the Company in a subsidiary.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.5 Other related party transactions

Remuneration to members of Board of Directors and management:

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Salaries	31,027	35,439
TOTAL	31,027	35,439

36. EARNINGS PER SHARE

The following reflects the income and share data used in the basic and diluted earnings per share computations:

	Currency: million VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Net profit after tax attributable to ordinary shareholders	15,917,392	10,278,579
Adjust for the effect of dilution	-	-
Net profit attributable to ordinary shareholders adjusted for the effect of dilution	15,917,392	10,278,579
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Weighted average number of ordinary shares (excluding treasury shares) for basic earnings per share	3,289,513,918	3,289,513,918
Adjust for the effect of dilution	-	-
Weighted average number of ordinary shares (excluding treasury shares) for basic earnings per share	3,289,513,918	3,289,513,918
	Currency: VND	
	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Basic earnings per share	4,839	3,125

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

36. EARNINGS PER SHARE (continued)

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these interim consolidated financial statements.

37. SEGMENT INFORMATION

The Company and its subsidiaries do not present segmental information for the six-month period ended 30 June 2021 because real estate trading and related services are principal sources accounting for a substantial portion in the Company and its subsidiaries' total revenue, profit and assets. Therefore, management is of the view that there is only one segment for business. In addition, management defines the Company and subsidiaries' geographical segments to be based on the location of the assets which is in Vietnam.

38. COMMITMENTS AND CONTINGENCIES

Commitments under operating leases where the Company and its subsidiaries are lessees

The Company and its subsidiaries, as lessees, have signed land rental contracts and operating lease arrangements for apartments, shophouses and villas and other operating lease arrangements. The minimum lease commitments as at the interim balance sheet date under these operating lease agreements are as follows:

	Currency: million VND	
	30 June 2021	31 December 2020
Less than 1 year	145,253	111,672
From 1 to 5 years	675,280	505,354
More than 5 years	7,481,810	5,759,524
TOTAL	8,302,343	6,376,550

Commitments under operating leases where the Company and its subsidiaries are lessors

The Company and its subsidiaries, as lessors, lease offices, apartments, shophouses and villas under operating lease agreements. The future minimum rental receivables as at the interim balance sheet date under these operating lease agreements are as follows:

	Currency: million VND	
	30 June 2021	31 December 2020
Less than 1 year	602,717	537,615
From 1 to 5 years	827,538	653,775
More than 5 years	1,995,090	2,174,135
TOTAL	3,425,345	3,365,525

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

38. COMMITMENTS AND CONTINGENCIES (continued)

Lease commitment

Ecology JSC, a subsidiary, entered into lease contracts with an affiliate for leasing retail areas at two (02) real estate projects. As at 30 June 2021, the present values of the minimum lease payment receivables under these agreements for period less than 1 year, from 1 to 5 years and more than 5 years respectively are VND18.8 billion, VND48.2 billion, VND58.2 billion. As at 30 June 2021, the total minimum lease payment receivables under these agreements for period less than 1 year, from 1 to 5 years and more than 5 years respectively are VND21.4 billion, VND88.8 billion, VND488.5 billion.

Commitments related to capital expenditure of on-going real estate projects and development of potential real estate projects

The Company and its subsidiaries have entered into a number of contracts relating to the development of certain real estate projects. The outstanding commitment on these contracts as at 30 June 2021 amounts to approximately VND3,354 billion (as at 31 December 2020: VND9,704 billion). In addition, according to a land lease agreement between a subsidiary and a counterparty, the remaining consideration payable under this agreement as at 30 June 2021 is USD110,000,000.

Under Build – Transfer Contract in 2016 between Hanoi Construction Department and a subsidiary and a counterparty, the outstanding commitment of this contract as at 30 June 2021 is VND362 billion.

Under a Business Co-operation Contract dated November 2017 between a subsidiary and a counterparty, the subsidiary commits to contribute 100% investment capital for a potential real estate project in Hanoi. The project will be implemented within 2 years commencing from the date the subsidiary receives land parcel for construction. In accordance with this agreement, upon the completion of the project, the subsidiary will be entitled to manage and operate a portion of the project's asset. The total estimated capital is VND790 billion, the remaining commitment of this agreement as at 30 June 2021 is VND782.1 billion.

In May 2018, the Company and Can Gio JSC, a subsidiary, have entered into a Capital Transfer Agreement with a corporate counterparty to acquire 32.5% of Berjaya VFC LLC's equity interest. At 30 June 2021, the remaining consideration payable under this agreement is VND503.7 billion.

In June 2019, a subsidiary has entered into an Investment Co-operation Contract with counterparties for the purpose of investing in a real estate project. Accordingly, the subsidiary commits to deposit to secure the call option of capital contribution in this project. At 30 June 2021, the remaining commitment under this agreement amounts to VND172.5 billion.

As disclosed in Note 13, a subsidiary has entered into Share Transfer Agreement with an affiliate for the purpose of acquiring shares in a company owning real estate project. At 30 June 2021, the remaining commitment under this agreement amounts to VND6,028 billion. After the interim consolidated balance sheet date, the subsidiary has deposited additional amount of VND3,765 billion under the aforementioned Share Transfer Agreement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

38. COMMITMENTS AND CONTINGENCIES (continued)

Commitment under interest support agreements to buyers of inventory properties at real estate projects of the Company and its subsidiaries

According to three-party (3) interest support agreements among the Company and its subsidiaries as investors, buyers of inventory properties of the Company's projects (including Vinhomes Ocean Park, Vinhomes Grand Park, Vinhomes Smart City, Vinhomes West Point, Vinhomes Symphony, Vinhomes New Center and Vinhomes Marina Projects) and certain banks, the Company and its subsidiaries commit to support the buyers in getting loans to finance for a part of the selling price and to settle the interest within a committed period.

Commitments under Business Co-operation Contracts

Under the Business Co-operation Contracts signed in February 2012 between some subsidiaries of the Company and Thien Huong Investment JSC ("Thien Huong JSC") regarding the school operations in Vinhomes Royal City and Vinhomes Riverside projects, the aforementioned subsidiaries are entitled to the share of Thien Huong JSC's revenue, which is equal to 15% of revenue and can be adjusted according to the agreement. The duration of the Business Co-operation Contracts are from February 2012 to the end of August 2043.

Under the Business Co-operation Contracts between the Company and its subsidiaries and Vinschool LLC on the exploitation of the school component of real estate projects, the Company are entitled to the share of Vinschool LLC's revenue, which is equal to 15% of revenue and can be adjusted according to the agreement.

Under the Business Co-operation Contracts dated August 2020 between the Company and its subsidiaries and Vinfast LLC and Project Transfer Agreement regarding to transfer a part of Vinfast Automobile Manufacturing Complex Project, the Company and its subsidiaries are entitled to the shared revenue of Vinfast LLC with minimum level until the completion of project handover to the Company and its subsidiaries.

Commitment related to non-controlling owner of a subsidiary

In accordance with the agreement between the two owners of a subsidiary, the non-controlling owner has the right to contribute capital equivalent to 15% equity ownership together with right, obligation in this subsidiary.

39. NOTES TO CASH FLOW MOVEMENT

Currency: million VND

	For the six-month period ended 30 June 2021	For the six-month period ended 30 June 2020
Actual cash received from loans during the period:		
Cash received from normal loan agreements	3,373,375	2,144,056
Cash received from issuance of bonds	-	13,766,709
Actual cash payment of loans during the period:		
Cash payment for normal loan agreements	(4,033,226)	(470,759)
Cash payment for principal of bonds	(1,500,000)	(800,000)

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2021 and for the six-month period then ended

40. EVENTS AFTER THE INTERIM BALANCE SHEET DATE

Except for the events after the interim consolidated balance sheet date as presented in other notes of the interim consolidated financial statements, the Company and its subsidiaries have the following events after the interim consolidated balance sheet date:

According to the Resolution dated in July 2021, the Board of Director approved to sell treasury shares in July 2021. Accordingly, the total number of treasury shares offered is 60,000,000 shares. On 12 August 2021, the Company sold the aforementioned 60,000,000 treasury shares through exchange and/or over-the-counter.

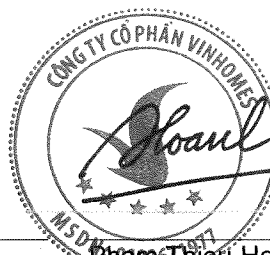
There is no other matter or circumstance that has arisen since the interim consolidated balance sheet date that requires adjustment or disclosure in the interim consolidated financial statements of the Company and its subsidiaries



Phung Thi Bich Hong
Preparer



Le Tien Cong
Chief Accountant



Pham Thieu Hoa
Chief Executive Officer

Hanoi, Vietnam

29 August 2021

Vinhomes Joint Stock Company

APPENDIX 1 – THE COMPANY’S SUBSIDIARIES AS AT 30 JUNE 2021

No.	Full name	Short name	Voting right (%)	Equity interest (%)	Registered office's address	Principal activities
1	Gia Lam Urban Development and Investment Limited Liability Company (i) (iii)	Gia Lam LLC	99.39	99.00	2 nd Floor, Vincom Mega Mall Ocean Park Shopping Center in land plot CCTP-10 of Gia Lam Urban Project, Trau Quy Town and Duong Xa, Kieu Ky, Da Ton Communes, Gia Lam District, Hanoi	Investing, developing and trading real estate properties
2	Ecology Development and Investment Joint Stock Company (i)	Ecology JSC	100.00	99.61	No. 191 Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
3	Vietnam Investment and Consulting Investment Joint Stock Company (i)	Vietnam Investment JSC	70.00	69.73	No. 191 Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
4	Can Gio Tourist City Corporation (i)	Can Gio JSC	99.89	99.81	No.72 Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
5	Tay Tang Long Real Estate Company Limited Liability Company	Tay Tang Long LLC	90.00	90.00	No.72 Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
6	Berjaya Vietnam International University Township Limited Liability Company (i)	Berjaya VIUT LLC	97.90	97.72	20A Floor, Vincom Center Dong Khoi, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
7	Royal City Real Estate Development and Investment Joint Stock Company (i)	Royal City JSC	97.85	97.85	No. 72A Nguyen Trai Street, Thuong Dinh Ward, Thanh Xuan District, Hanoi	Investing, developing and trading real estate properties
8	Lang Van Development and Investment Joint Stock Company (i)	Lang Van JSC	100.00	99.84	No. 7 Truong Sa Street, Hoa Hai Ward, Ngu Hanh Son District, Da Nang City	Investing, developing and trading real estate properties
9	Metropolis Hanoi Limited Liability Company	Metropolis Hanoi LLC	100.00	100.00	HH land area, Pham Hung Street, Me Tri Ward, Nam Tu Liem District, Hanoi	Investing, developing and trading real estate properties

Vinhomes Joint Stock Company

APPENDIX 1 – THE COMPANY’S SUBSIDIARIES AS AT 30 JUNE 2021 (continued)

No.	Full name	Short name	Voting right (%)	Equity interest (%)	Registered office’s address	Principal activities
10	Berjaya Vietnam Financial Center Limited Liability Company (i)	Berjaya VFC LLC	67.50	67.37	20A Floor, Vincom Center Dong Khoi, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
11	Thai Son Investment and Construction Corporation (i)	Thai Son JSC	100.00	99.81	No. 7 Bang Lang 1 Street, Vinhomes Riverside Eco-urban Area, Viet Hung Ward, Long Bien District, Hanoi	Investing, developing and trading real estate properties
12	Millennium Trading Investment and Development Limited Liability Company	Millennium LLC	100.00	100.00	20A Floor, Vincom Center Dong Khoi, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing, trading real estate properties and office leasing
13	GS Cu Chi Development Joint Stock Company (i)	GS Cu Chi JSC	100.00	99.90	20A Floor, Vincom Center Dong Khoi, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
14	Phu Gia Property Trading Limited Liability Company (i) (ii)	Phu Gia LLC	98.00	97.62	No. 63 Hang Ga Street, Hang Bo Ward, Hoan Kiem District, Hanoi	Investing, developing and trading real estate properties
15	Green City Development Joint Stock Company (i)	Green City JSC	100.00	99.85	No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
16	Delta Joint Stock Company (i)	Delta JSC	100.00	99.84	No. 110, Dang Cong Binh Street, 6th Hamlet, Xuan Thoi Thuong Ward, Hoc Mon District, Ho Chi Minh City	Investing, developing and trading real estate properties
17	Vinhomes Industrial Zone Investment Joint Stock Company (i)	VHIZ JSC	100.00	99.92	No. 7, Bang Lang 1 Street, Vinhomes Riverside Eco-Urban Area, Viet Hung Ward, Long Bien District, Hanoi	Investing, developing and trading real estate properties

Vinhomes Joint Stock Company

APPENDIX 1 – THE COMPANY'S SUBSIDIARIES AS AT 30 JUNE 2021 (continued)

No.	Full name	Short name	Voting right (%)	Equity interest (%)	Registered office's address	Principal activities
18	Dai An Investment Construction Joint Stock Company (i)	Dai An JSC	100.00	99.85	Highway 5A, Dinh Du Village, Dinh Du Commune, Van Lam District, Hung Yen Province	Investing, developing and trading real estate properties
19	Ecology Development and Trading Joint Stock Company (i) (ii)	Ecology Trading JSC	100.00	99.98	Symphony Office Building, Chu Huy Man Street, Vinhomes Riverside Eco-Urban Area, Phuc Loi Ward, Long Bien District, Hanoi	Investing, developing and trading real estate properties
20	VinITIS Information Technology and Transmission Infrastructure Solutions Joint Stock Company	VinITIS JSC	61.00	61.00	No. 7, Bang Lang 1 Street, Vinhomes Riverside Eco-Urban Area, Viet Hung Ward, Long Bien District, Hanoi	Data processing, leasing of mobile broadcasting infrastructure, voice network, television and related activities.
21	Hon Mot Tourism Joint Stock Company (i)	Hon Mot JSC	100.00	99.82	Hon Tre Island, Vinh Nguyen Ward, Nha Trang City, Khanh Hoa Province	Investing, developing and trading real estate properties
22	Newco Development and Investment Joint Stock Company (i)	Newco JSC	100.00	99.82	No. 72 Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
23	Sai Dong Urban Development and Investment Joint Stock Company (i)	Sai Dong JSC	100.00	99.85	No. 7, Bang Lang 1 Street, Vinhomes Riverside Eco-Urban Area, Viet Hung Ward, Long Bien District, Hanoi	Investing, developing and trading real estate properties
24	Central Park Development Limited Liability Company (i)	Central Park LLC	100.00	99.85	Room 900, 9 th Floor, IPH Tower, No. 241 Xuan Thuy Street, Dich Vong Hau Ward, Cau Giay District, Hanoi	Investing, developing and trading real estate properties
25	Bao Lai Investment Joint Stock Company (i)	Bao Lai JSC	96.48	96.33	No. 166, Pham Van Dong Street, Xuan Dinh Ward, Bac Tu Liem District, Hanoi	Exploiting, manufacturing and trading white marble

Vinhomes Joint Stock Company

APPENDIX 1 – THE COMPANY'S SUBSIDIARIES AS AT 30 JUNE 2021 (continued)

No.	Full name	Short name	Voting right (%)	Equity interest (%)	Registered office's address	Principal activities
26	Bao Lai Marble One Member Company Limited (i)	Bao Lai Marble LLC	100.00	96.33	Hop Nhat Village, Thinh Hung Commune, Yen Binh District, Yen Bai Province	Exploiting, manufacturing and trading white marble ▲
27	An Phu White Marble Company Limited (i)	An Phu White Marble LLC	100.00	96.33	Khau Ca Village, An Phu Commune, Luc Yen District, Yen Bai Province	Exploiting, manufacturing and trading white marble ▲
28	Doc Thang Marble Joint Stock Company (i)	Doc Thang JSC	70.77	68.17	Ngoi Ken Village, Lieu Do Commune, Luc Yen District, Yen Bai Province	Exploiting, manufacturing and trading white marble ▲
29	Phan Thanh Mineral Joint Stock Company (i)	Phan Thanh JSC	91.36	88.01	Ban Ro Village, Phan Thanh Commune, Luc Yen District, Yen Bai Province	Exploiting, manufacturing and trading white marble ▲
30	Bao Lai Luc Yen Mineral Exploitation One Member Company Limited (i)	Bao Lai Luc Yen LLC	100.00	96.33	Ngoi Ken Village, Lieu Do Commune, Luc Yen District, Yen Bai Province	Exploiting, manufacturing and trading white marble ▲
31	Van Khoa Investment Joint Stock Company (i)	Van Khoa Investment JSC	64.29	61.93	No. 166, Pham Van Dong Street, Xuan Dinh Ward, Bac Tu Liem, District, Hanoi	Exploiting, manufacturing and trading white marble ▲
32	Van Khoa Luc Yen One Member Company Limited (i)	Van Khoa Luc Yen LLC	100.00	61.93	Ngoi Ken Village, Lieu Do Commune, Luc Yen District, Yen Bai Province	Exploiting, manufacturing and trading white marble ▲
33	Times Trading Investment and Development One Member Company Limited	Times Trading LLC	100.00	100.00	No. 72 Le Thanh Ton and No. 45A Ly Tu Trong, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing real estate properties and leasing offices ▲

(i) The equity interest in these subsidiaries differs from voting right since the Company controls over these subsidiaries indirectly through other subsidiaries.

(ii) These companies are in the process of completing dissolution procedures.

(iii) Non-controlling owner in this subsidiary has the right to contribute capital as disclosed in Note 38.